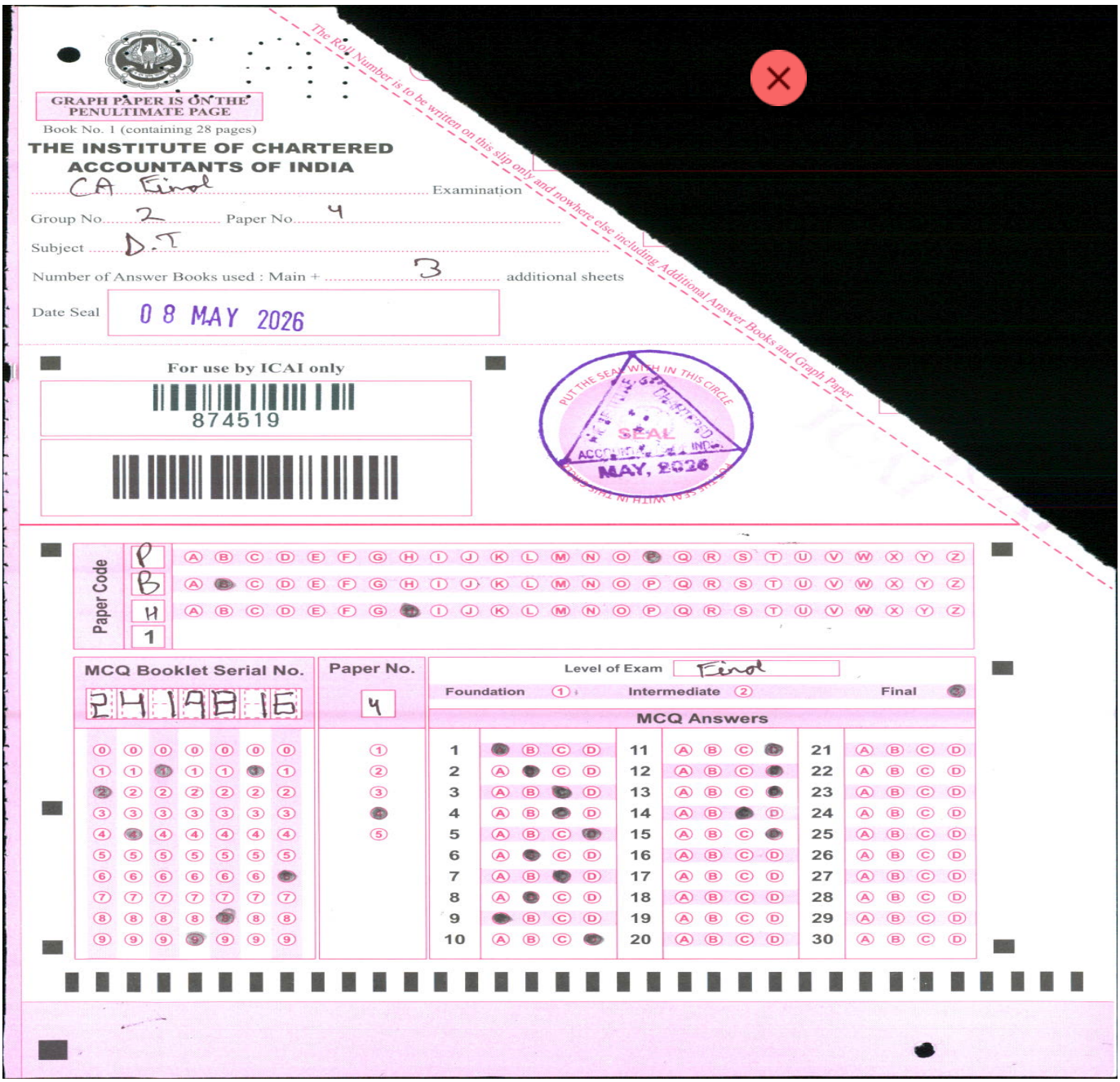
The Institute of Chartered Accountants of India

Code: FN4DT874519 **Total Marks:** 70

Subject : 04 Direct Tax Laws and International Taxation **Marks Obtained :** 50



GRAPH PAPER IS ON THE PENULTIMATE PAGE

Book No. 1 (containing 28 pages)

THE INSTITUTE OF CHARTERED ACCOUNTANTS OF INDIA

CA Final Examination

Group No. 2 Paper No. 4

Subject D.T

Number of Answer Books used : Main + 3 additional sheets

Date Seal 08 MAY 2026

The Roll Number is to be written on this slip only and nowhere else including Additional Answer Books and Graph Paper

For use by ICAI only

874519

PUT THE SEAL WITHIN THIS CIRCLE

SEAL MAY, 2026

Paper Code: P B H 1

MCQ Booklet Serial No.: 24198116

Paper No.: 4

Level of Exam: Final (Foundation ① Intermediate ② Final ③)

MCQ Answers

1	B	C	D	11	A	B	C	D	21	A	B	C	D
2	A	C	D	12	A	B	C	D	22	A	B	C	D
3	A	B	D	13	A	B	C	D	23	A	B	C	D
4	A	B	D	14	A	B	C	D	24	A	B	C	D
5	A	B	C	15	A	B	C	D	25	A	B	C	D
6	A	C	D	16	A	B	C	D	26	A	B	C	D
7	A	B	D	17	A	B	C	D	27	A	B	C	D
8	A	C	D	18	A	B	C	D	28	A	B	C	D
9	B	C	D	19	A	B	C	D	29	A	B	C	D
10	A	B	C	20	A	B	C	D	30	A	B	C	D

The Institute of Chartered Accountants of India

Code: FN4DT874519 **Total Marks:** 70

Subject : 04 Direct Tax Laws and International Taxation **Marks Obtained :** 50

[redacted]

...DIDATE...

...ver of the cover...

...s of the OMR portion

...at the appropriate space at the

...eet and affix the same on box provided

...at Roll number written in numbers, words and ...formation wrongly, Institute will not take any

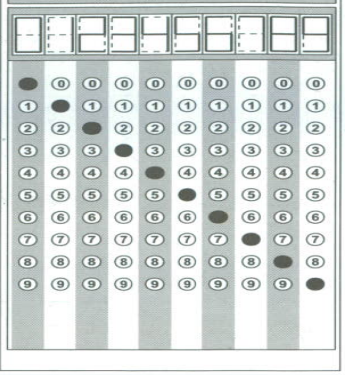
...n a fresh page and question number prominently written at the ...n number should be distinctly written in the margin.

...ould be fully completed in one page or in a consecutive set of pages,

...ther than the space provided for the purpose or writing distinguishing mark, ...ssus", "786", etc., will tantamount to adoption of "unfair means"

...nswer book to the invigilator take care to score out (X) blank pages, if any, that you

Illustration for Filling the MCQ Booklet Serial No.



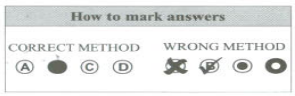
...RUCTIONS TO THE CANDIDATE FOR FILLING THE MCQ ANSWER FIELDS

...**H.B. Pencil to Darken the appropriate Circle.**

...and darken the correct MCQ Booklet Serial No. as printed on your question booklet which will be taken as final for evaluation. ...case any candidate fills in this information wrongly, Institute will not take any responsibility for rectifying the mistake.

3. Please darken the complete circle.
4. If you want to change your Answer, erase the darkened circle completely and make a fresh mark.
5. Please do NOT make any stray marks on the OMR cover page.
6. Rough work must NOT be done on the OMR cover page.
7. Mark your answer only in the appropriate space against the number corresponding to the question.

How to mark answers



Q. No.	To be ticked ✓ by the candidate against the Questions answered (Descriptive Type)		
1	☐	8	☐
2	☐	9	☐
3	☐	10	☐
4	☐	11	☐
5	☐	12	☐
6	☐	13	☐
7	☐	14	☐
Total		Total	

03

Q4 (a)

Ans.

(i) As per Section 194R, where a benefit or perquisite is paid in relation to Business or Profession, TDS is deductible @ 10% if amount exceeds ₹ 20,000.

Where the benefit is non-monetary, & such benefit is purchased by the payer, then purchase price (₹2,50,000) shall be considered for the purpose of TDS u/s 194R.
Fair Value is ~~Nor~~ immaterial.

∴, TDS ⇒ ₹ 2,50,000 × 20% ⇒ ₹50,000

Gold Coin distributed is benefit or perquisite, in relation to business, hence TDS applicable.

XYZ ltd. has to ensure that TDS is paid by distributor before distributing gold coin.

4aiStep1 1.5 Marks

4ai 1.5 Marks

(ii)
Ans - As per Section 194T, TDS is deductible on payments (including interest) made to partners exceeding ₹20,000 @ 10%.

Payment to Rakesh Kumar Garg ⇒ ₹1,20,000
∴, TDS applicable since exceeds ₹20,000.
TDS ⇒ 1,20,000 × 10% ⇒ ₹12,000
Net amt. paid to him ⇒ ₹1,20,000 - ₹12,000 ⇒ ₹1,08,000.
Payment to Ashok Kumar Garg ⇒ ₹20,000
∴, TDS not applicable as amount is upto ₹20,000 limit.

4aiiStep1 2 Marks

4aii 2 Marks

(iii)
Ans As per section 194J, TDS is deductible @ 10% on payment for professional service exceeding ₹50,000.

Hence, TDS is applicable in this case.

Since, tax has to be borne by PQR Ltd., it is assumed that ₹2,70,000 paid to Mr. A is net of TDS.

DO NOT WRITE ANYTHING HERE

05

Accordingly, Gross amount paid ⇒ 2,70,000
90%
⇒ ₹3,00,000

Hence, TDS is ⇒ ₹3,00,000 × 10% = ₹30,000

Net Amt. paid to Mr. A ⇒ ₹3,00,000 − ₹30,000
⇒ ₹2,70,000

Mr. A is entitled to TDS Credit.

4aiiiStep1 2 Marks

4aiii 2 Marks

(iv)

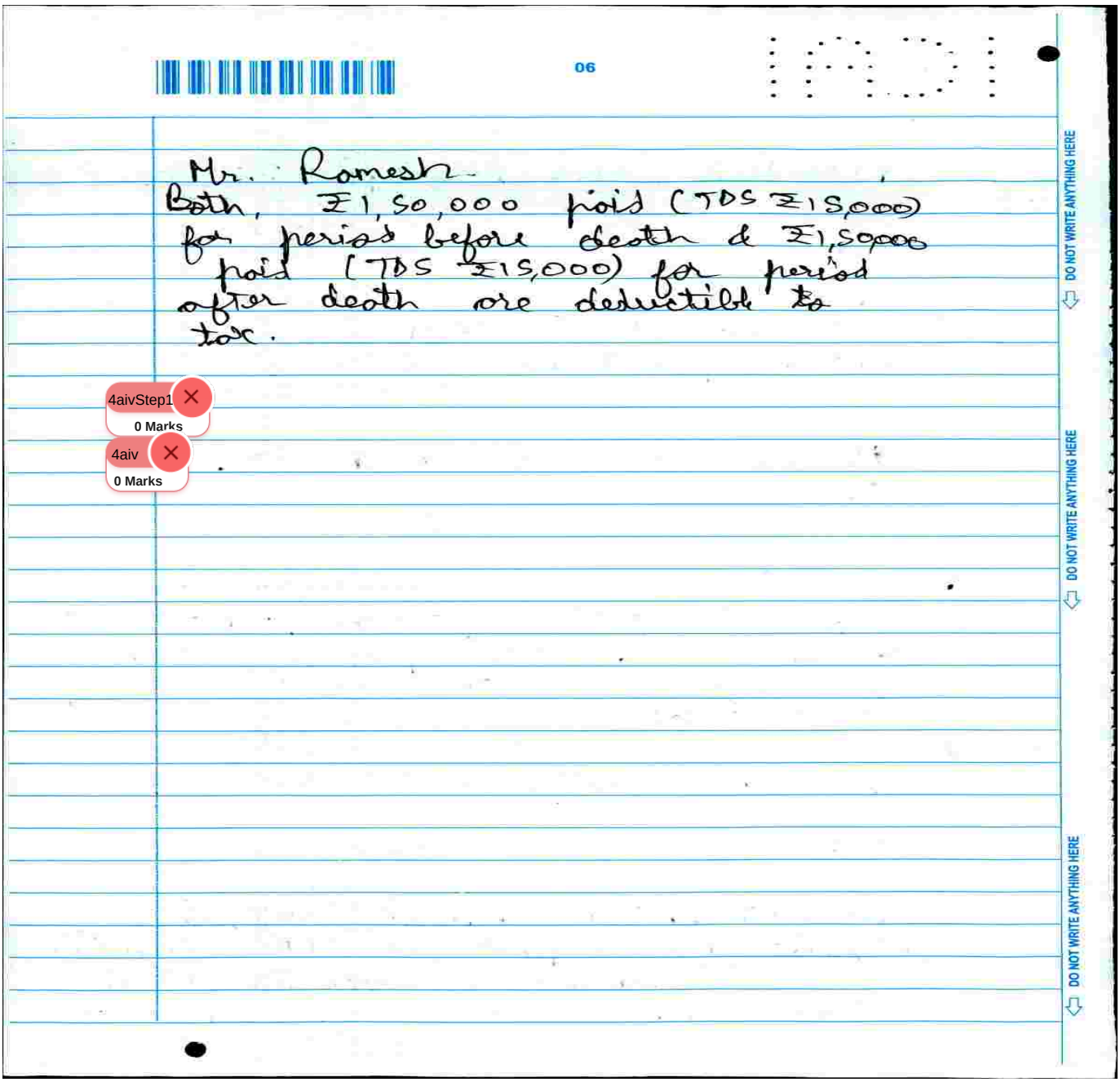
Ans. As per section 194A, TDS is deductible on interest paid by bank exceeding ₹50,000 [or ₹1,00,000 in case of senior citizen].

Thus, TDS deductible on ₹3,00,000.

TDS ⇒ ₹300,000 × 10% ⇒ ₹30,000.

The fact that Mr. Ramesh died shall have no impact on TDS deduction, as said amount is ~~to~~ taxable in the hands of legal heir of

DO NOT WRITE ANYTHING HERE



06

Mr. Ramesh -
Both, ₹1,50,000 paid (TDS ₹15,000) for period before death & ₹1,50,000 paid (TDS ₹15,000) for period after death are deductible to tax.

4aivStep1 ✕
0 Marks

4aiv ✕
0 Marks

DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE
DO NOT WRITE ANYTHING HERE

Q 4 (b)

Ans.

Since, no. of entries are 6 or more, Range Concept is applicable for determining ALP.

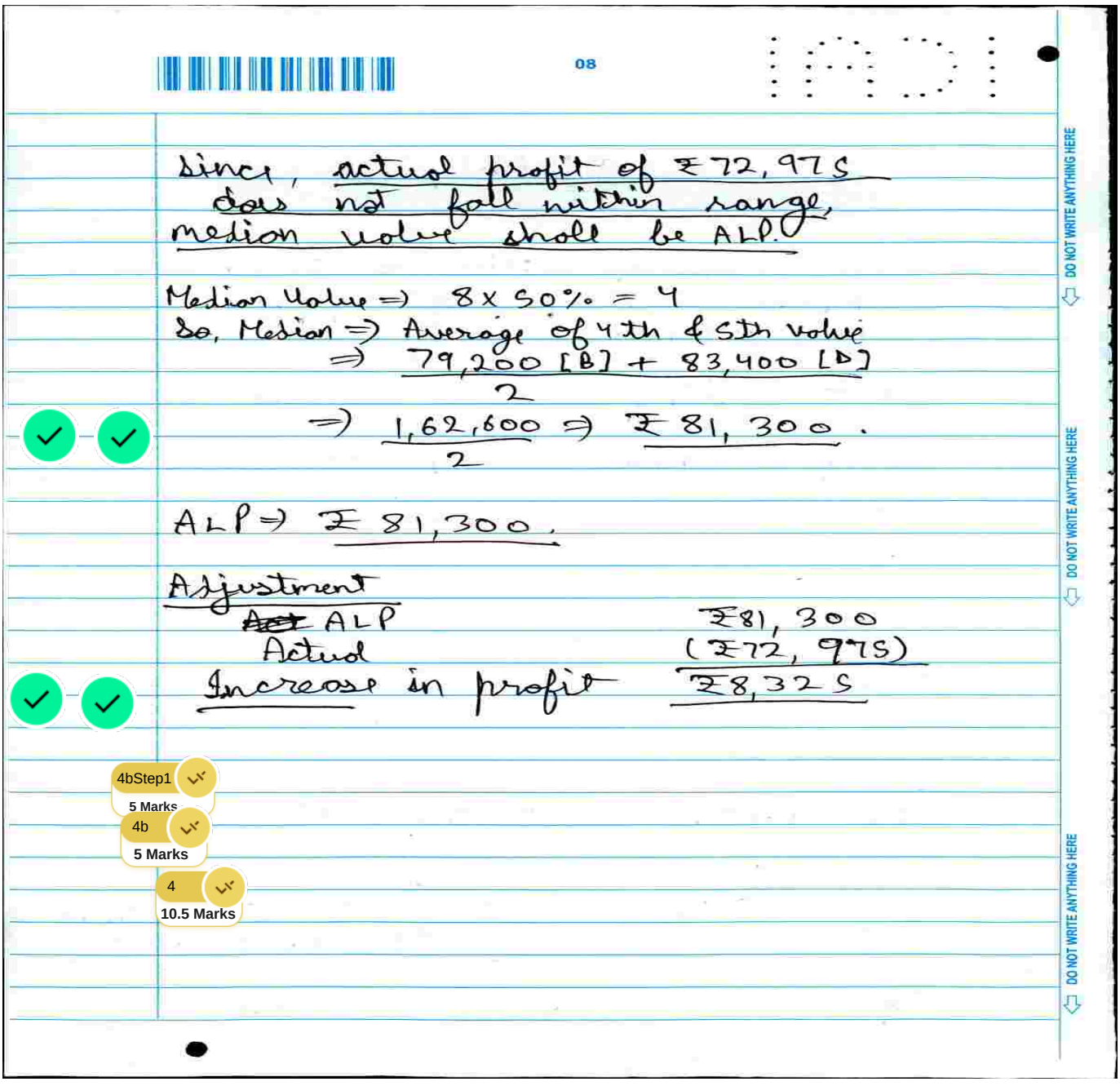
Putting comparables in Ascending order,

S. No.	Name	Profit (₹)
1	C	68,850
2	A	69,750
3	E	75,000
4	B	79,200
5	D	83,400
6	H	1,13,760
7	G	1,32,938
8	F	1,45,500

Ranges → Lower ⇒ 8 × 35% = 2.8, So 3rd Value [i.e., E = ₹ 75,000]

→ Higher ⇒ 8 × 65% = 5.2, So, 6th Value [i.e., H = ₹1,13,760]

Therfore, range is ₹75,000 – ₹1,13,760.



08

Since, actual profit of ₹72,975 does not fall within range, median value shall be ALP.

Median Value ⇒ 8 × 50% = 4

So, Median ⇒ Average of 4th & 5th value

⇒ $\frac{79,200\ [B] + 83,400\ [D]}{2}$

⇒ $\frac{1,62,600}{2}$ ⇒ ₹81,300.

ALP ⇒ ₹81,300.

Adjustment

~~Act~~ ALP	₹81,300
Actual	(₹72,975)
Increase in profit	₹8,325

4bStep1 5 Marks

4b 5 Marks

4 10.5 Marks

DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE

09

Q3 (a)

(i)

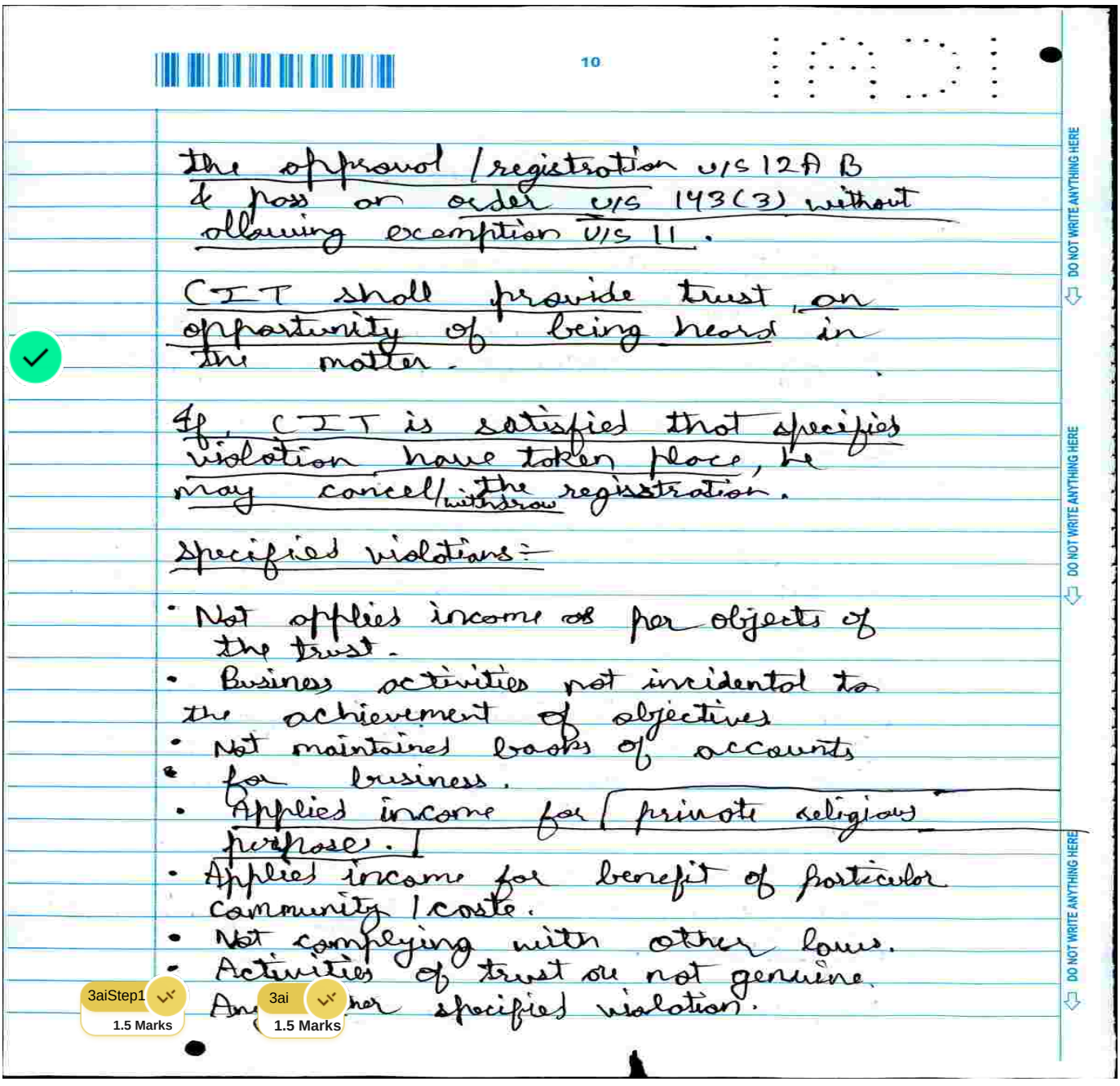
Ans. M. Foundations derived income of ₹60,00,000. It applies ~~₹6~~ ₹40 lakh including repayment of ₹6 lakh towards loan. Further, it applies ₹5 lakh for private Gonpoti Mahotsav.

₹6 lakh applied for repayment of loan is allowed if repaid with 5 years from the end of the year in which amount was first utilised & where ~~or~~ exp. out of this loan ~~a~~ were not treated applied.

Assessing Officer is empowered to make a reference ~~if it~~ to Commissioner / Principle Commissioner / Director if it finds that trust has incurred specified violations. ~~to do~~

Such case has to be selected as per Risk Management Strategy formulated by CBDT.

Reference can be made to cancel



10

the approval / registration u/s 12A B & pass an order u/s 143(3) without allowing exemption u/s 11.

CIT shall provide trust an opportunity of being heard in the matter.

If CIT is satisfied that specified violation have taken place, he may cancel/withdraw the registration.

Specified violations :-

- Not applies income as per objects of the trust.
- Business activities not incidental to the achievement of objectives
- Not maintained books of accounts for business.
- Applied income for [private religious purpose].
- Applied income for benefit of particular community / caste.
- Not complying with other laws.
- Activities of trust are not genuine.
- Any other specified violation.

3aiStep1 1.5 Marks

3ai 1.5 Marks

DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE

11

Q 3 (a)

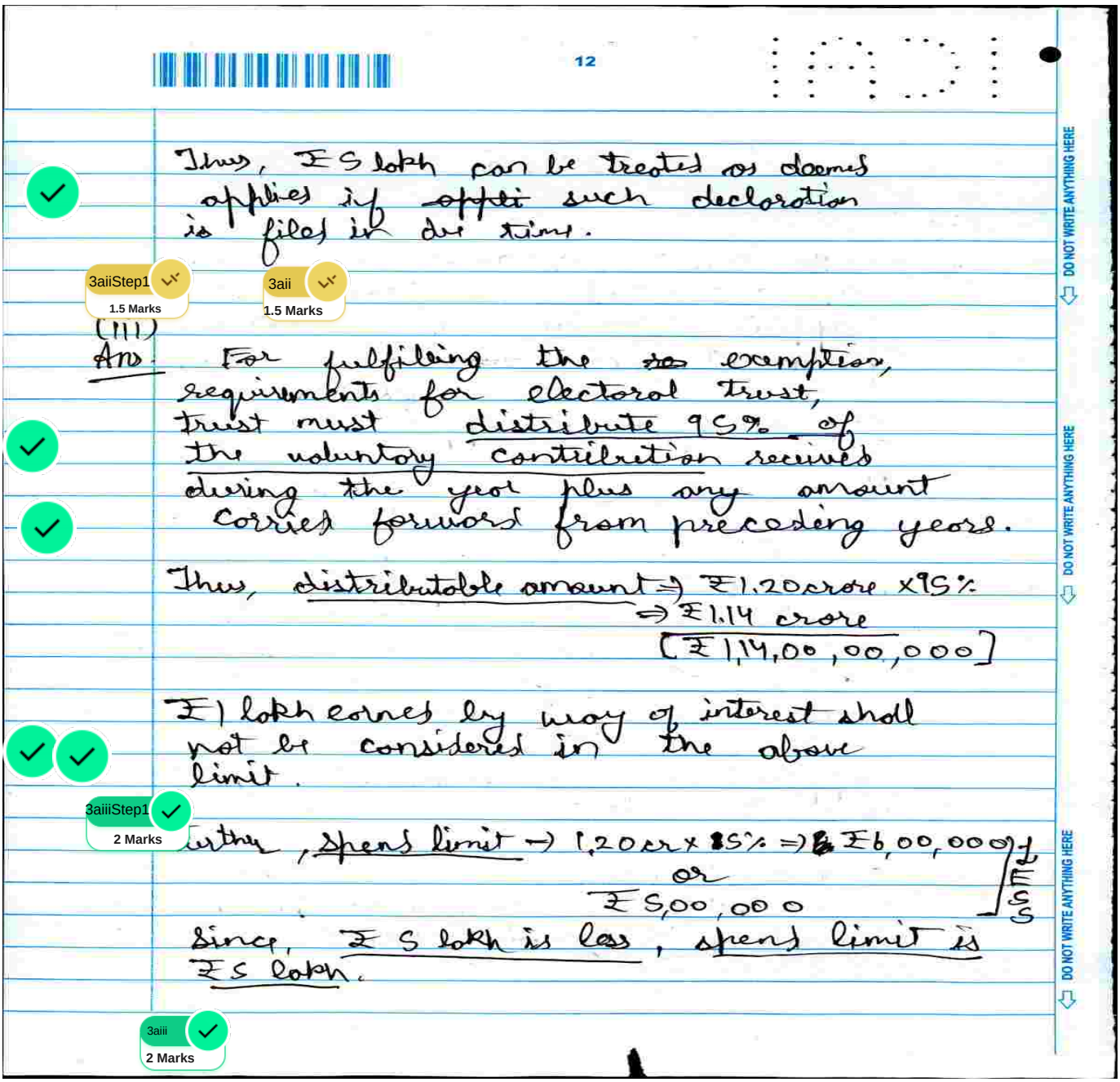
(ii)

Ans A Trust registered u/s 12 AB can treated an item as applied only on actual payment. [cash basis].

Accrual system not applied.

However, where any income is received in the last days of previous year & such income could not be applied, then trust may file declaration to the Assessing officer atleast 2 months prior to the due date of Return of Income that such income will be applied in the immediately next previous year. Hence, it is treated as deemed applied.

If not applied in next year, then this income is deemed income in next year taxable @ 30% u/s 115BBI.



12

Thus, ₹5 lakh can be treated as deemed applies if such declaration is filed in due time.

3aiiStep1 1.5 Marks

3aii 1.5 Marks

(iii)

Ans. For fulfilling the exemption, requirements for electoral trust, trust must distribute 95% of the voluntary contribution received during the year plus any amount carried forward from preceding years.

Thus, distributable amount ⇒ ₹1.20 crore × 95%
⇒ ₹1.14 crore
[₹1,14,00,000]

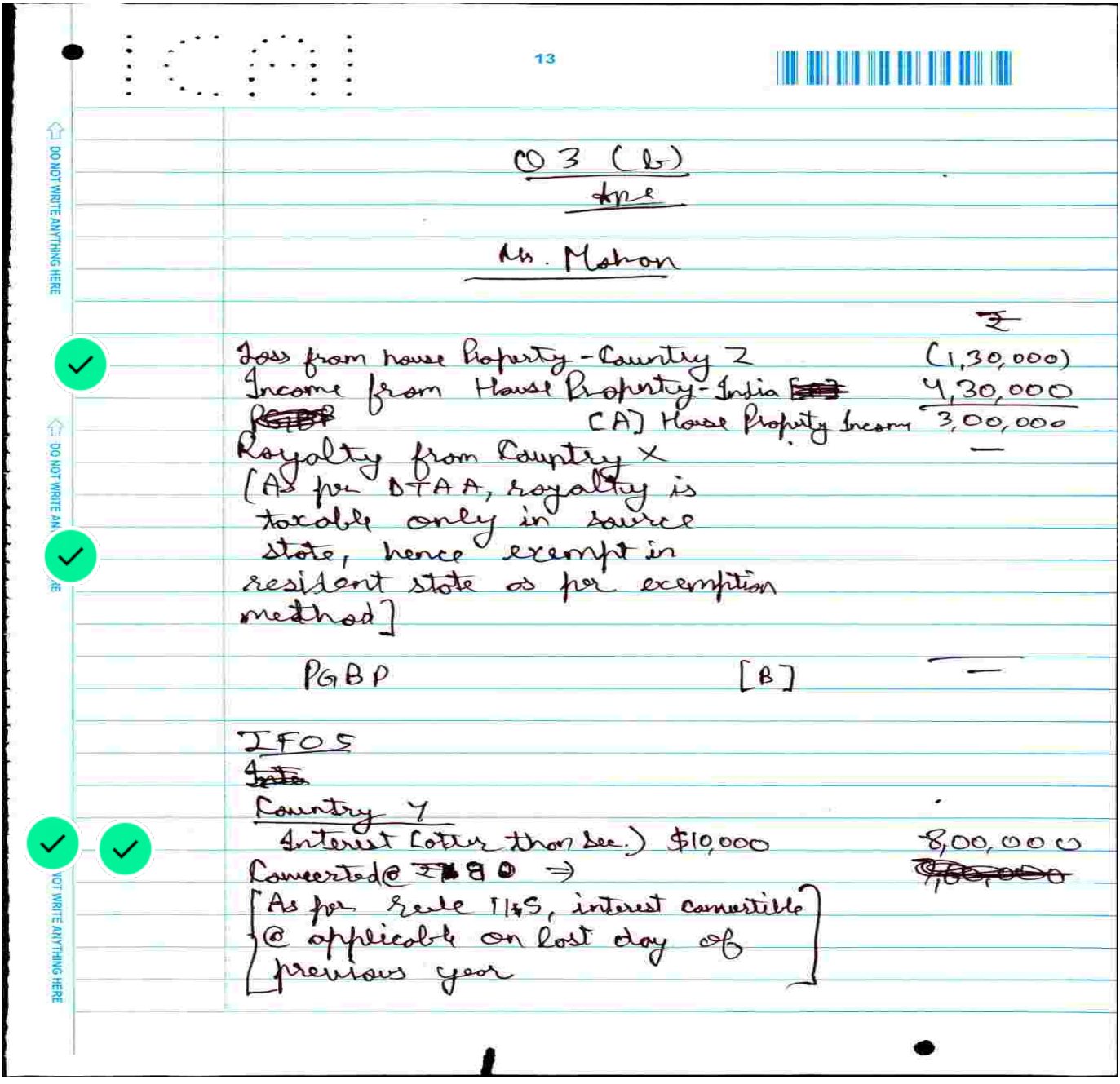
₹1 lakh earned by way of interest shall not be considered in the above limit.

3aiiiStep1 2 Marks

Further, spend limit → 1.20 cr × 85% ⇒ ₹6,00,000
or
₹5,00,000

Since, ₹5 lakh is less, spend limit is ₹5 lakh.

3aiii 2 Marks



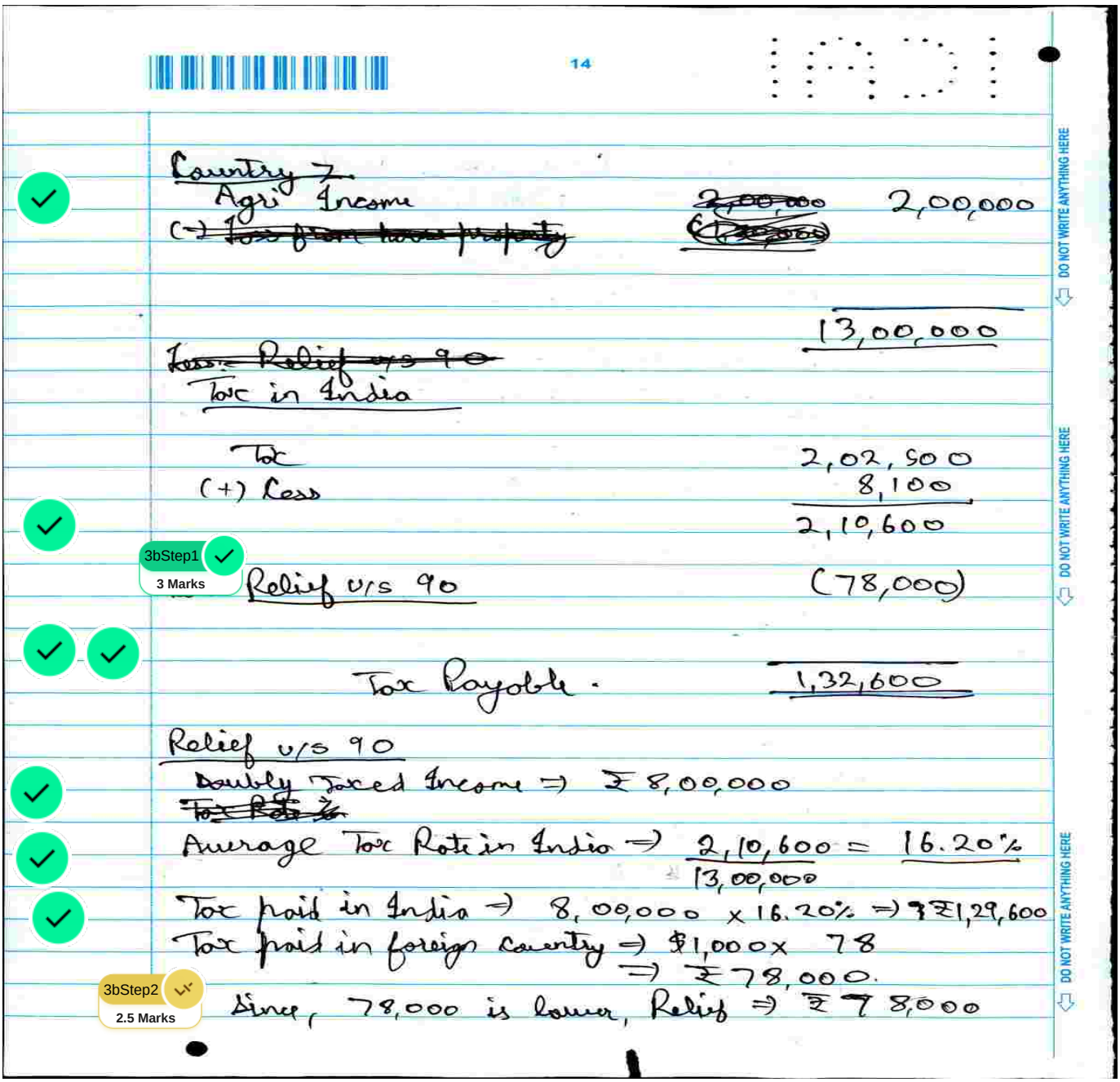
13

Q 3 (b)
~~the~~

Ms. Mohan

	₹
Loss from house Property - Country Z	(1,30,000)
Income from House Property - India ~~[illegible]~~	4,30,000
[A] House Property Income	3,00,000
Royalty from Country X [As per DTAA, royalty is taxable only in source state, hence exempt in resident state as per exemption method]	—
PGBP [B]	—
IFOS ~~[illegible]~~ Country Y Interest (other than sec.) $10,000	8,00,000
Converted @ ₹ 80 ⇒	~~[illegible]~~

[As per Rule 11 S, interest convertible @ applicable on last day of previous year]



14

Country 'Z'
Agri Income 2,00,000
(+) ~~Loss from house property~~

13,00,000

~~Less: Relief u/s 90~~
Tax in India

Tax 2,02,500
(+) Cess 8,100
2,10,600

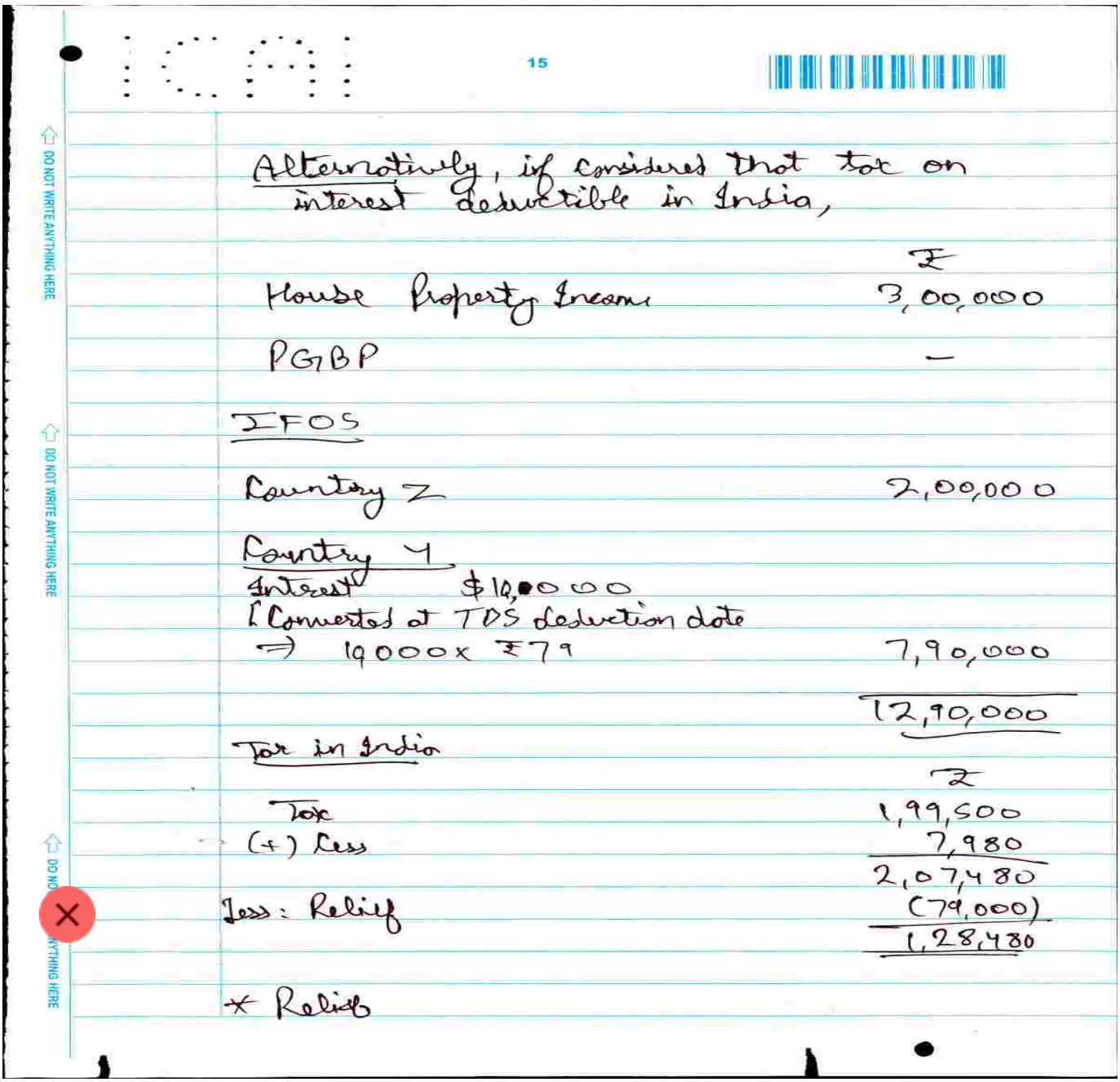
3bStep1
3 Marks
Relief u/s 90 (78,000)

Tax Payable - 1,32,600

Relief u/s 90
Doubly Taxed Income ⇒ ₹ 8,00,000
~~Tax Rate %~~
Average Tax Rate in India ⇒ 2,10,600 / 13,00,000 = 16.20%
Tax paid in India ⇒ 8,00,000 x 16.20% ⇒ ₹1,29,600
Tax paid in foreign country ⇒ $1,000 x 78
⇒ ₹78,000.

3bStep2
2.5 Marks
Since, 78,000 is lower, Relief ⇒ ₹ 78,000

DO NOT WRITE ANYTHING HERE

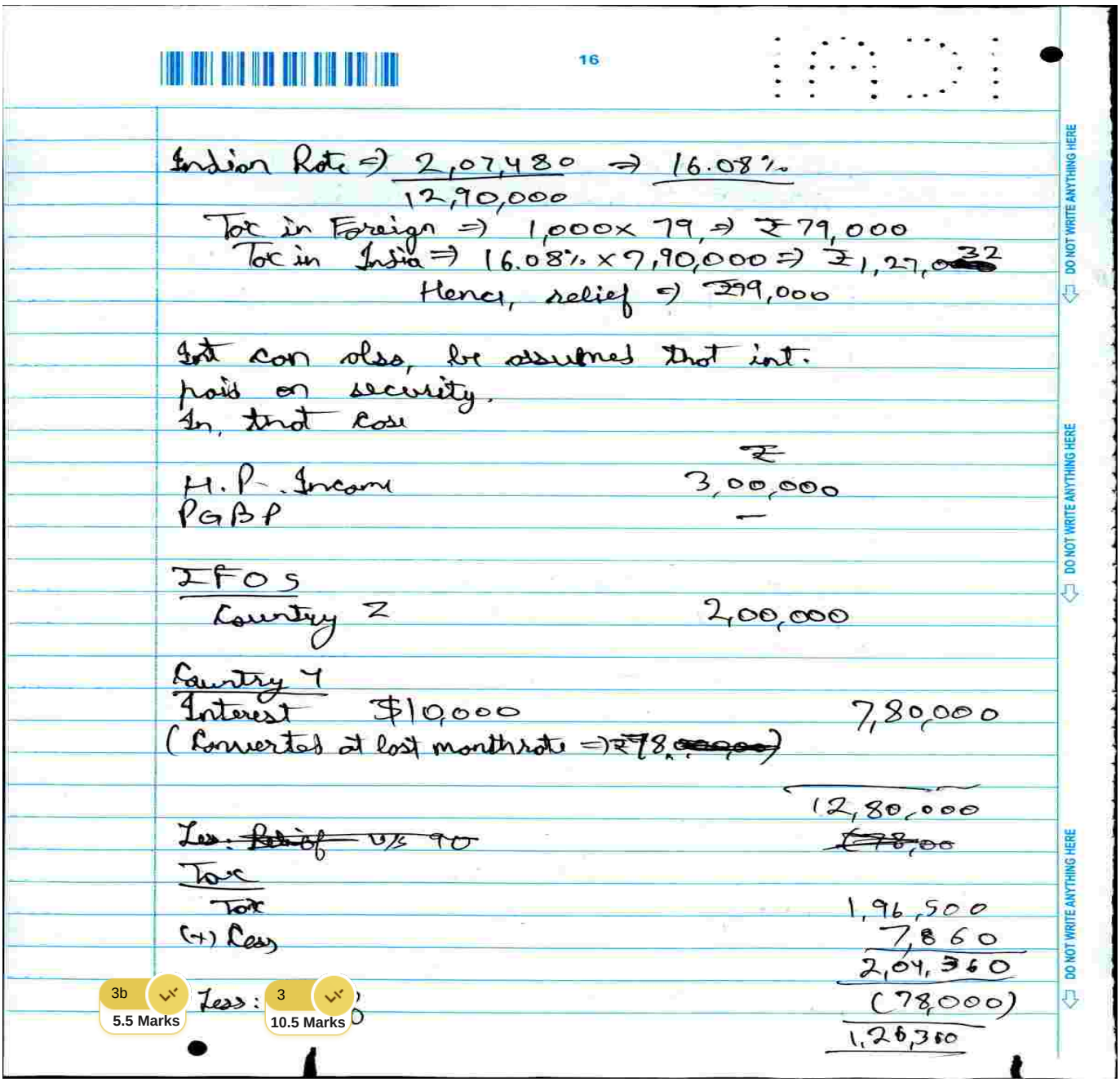


15

Alternatively, if considered that tax on interest deductible in India,

	₹
House Property Income	3,00,000
PGBP	–
IFOS	
Country Z	2,00,000
Country Y	
Interest $10,000	
[Converted at TDS deduction date	
⇒ 10000 x ₹79	7,90,000
	12,90,000
Tax in India	
	₹
Tax	1,99,500
(+) Less	7,980
	2,07,480
Less: Relief	(79,000)
	1,28,480

* Relief



16

Indian Rate ⇒ 2,07,480 / 12,90,000 ⇒ 16.08%

Tax in Foreign ⇒ 1,000 × 79 ⇒ ₹79,000

Tax in India ⇒ 16.08% × 7,90,000 ⇒ ₹1,27,032

Hence, relief ⇒ ₹79,000

Ist can also, be assumed that int. paid on security. In, that case

	₹
H.P. Income	3,00,000
PGBP	—
IFOS	
Country Z	2,00,000
Country Y	
Interest $10,000 (Converted at last month rate ⇒ ₹78,~~000~~)	7,80,000
	12,80,000
~~Less: Relief u/s 90~~	~~(78,000)~~
Tax	
Tax	1,96,500
(+) Cess	7,860
	2,04,360
Less :	(78,000)
	1,26,360

3b 5.5 Marks 3 10.5 Marks

DO NOT WRITE ANYTHING HERE

Q 5 (a)

(i)

Ans- Issue Involved : AB ltd. files an appeal to ~~ST~~ ITAT against DRP. ITAT allowed 6 month stay which was extended till 28th May 2025. But, matter not disposed off till 28th May.

Provision :

ITAT can grant stay of demand for 180 days on application by the assessee.

However, if matter could not be disposed off within 180 days & delay is not due to assessee, stay can be further extended ~~to~~ till 365 days from original date.

If matter not disposed off within 365 days, then order of stay will stand vacated only if delay can be attributed to assessee. Else, stay shall continue.

Analysis & Conclusion :

Since, delay in disposing off appeal is not attributable to assesse, automatic vaction of stay order on expiry of 365 days is not valid.

Stay shall not be vacated.

Stay shall continue till appeal disposes off.

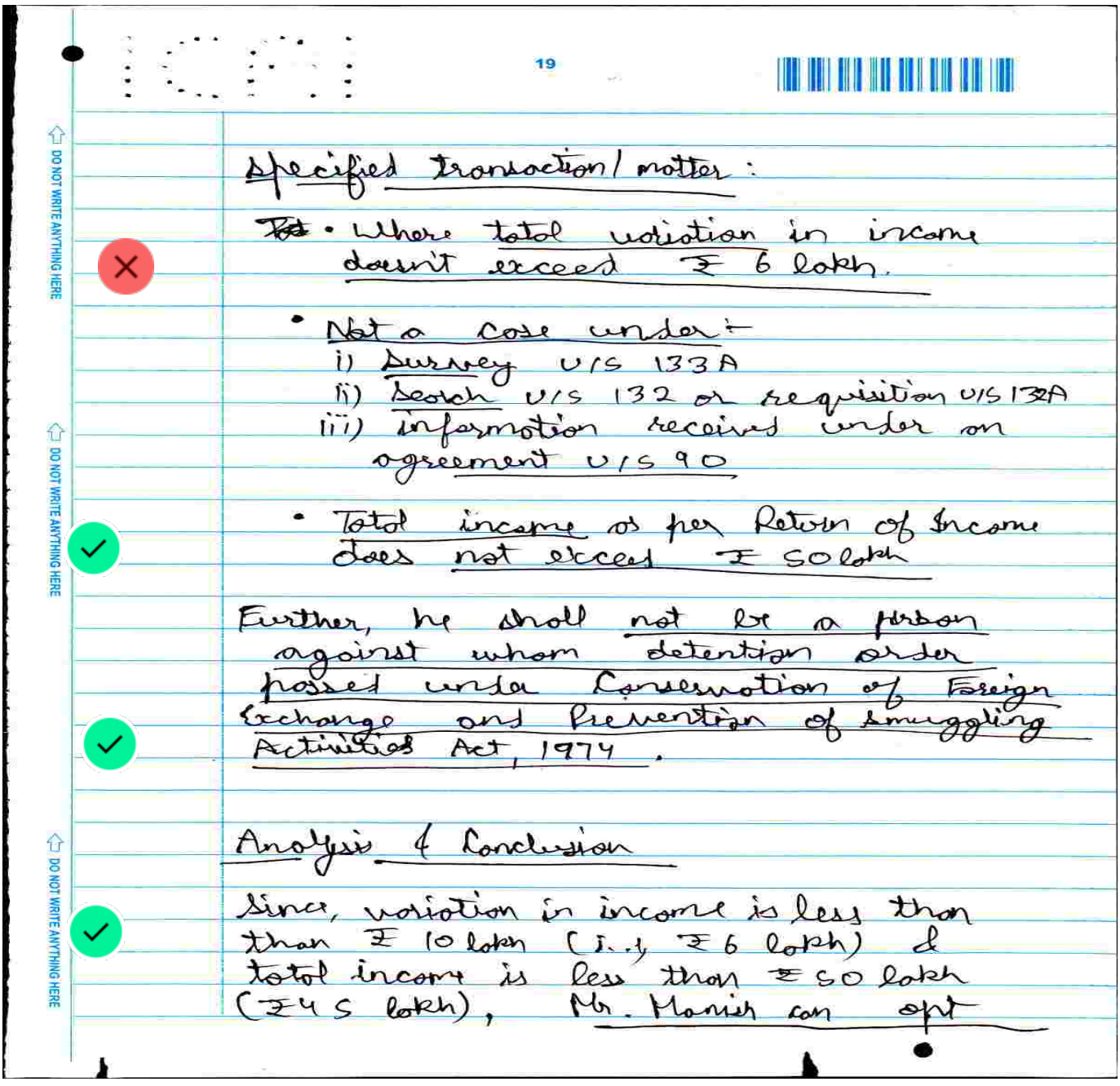
5aiORiiStep1 1.5 Marks

5aiORii 1.5 Marks

(iii) Issue Involved: Total income of Manish as per return is ₹45 lakh. Assessment completed on 20th Oct. 2025. On, 10th April 2026, Assessing officer increases income by ₹6 lakh by rectification order u/s 154.

Provisions:
As per relevant sections, a person can opt for dispute resolution only ~~if~~ in case of specified transaction in case of a specified person.

DO NOT WRITE ANYTHING HERE
DO NOT WRITE ANYTHING HERE
DO NOT WRITE ANYTHING HERE



19

DO NOT WRITE ANYTHING HERE

Specified transaction / matter :

- Where total variation in income doesn't exceed ₹ 6 lakh.

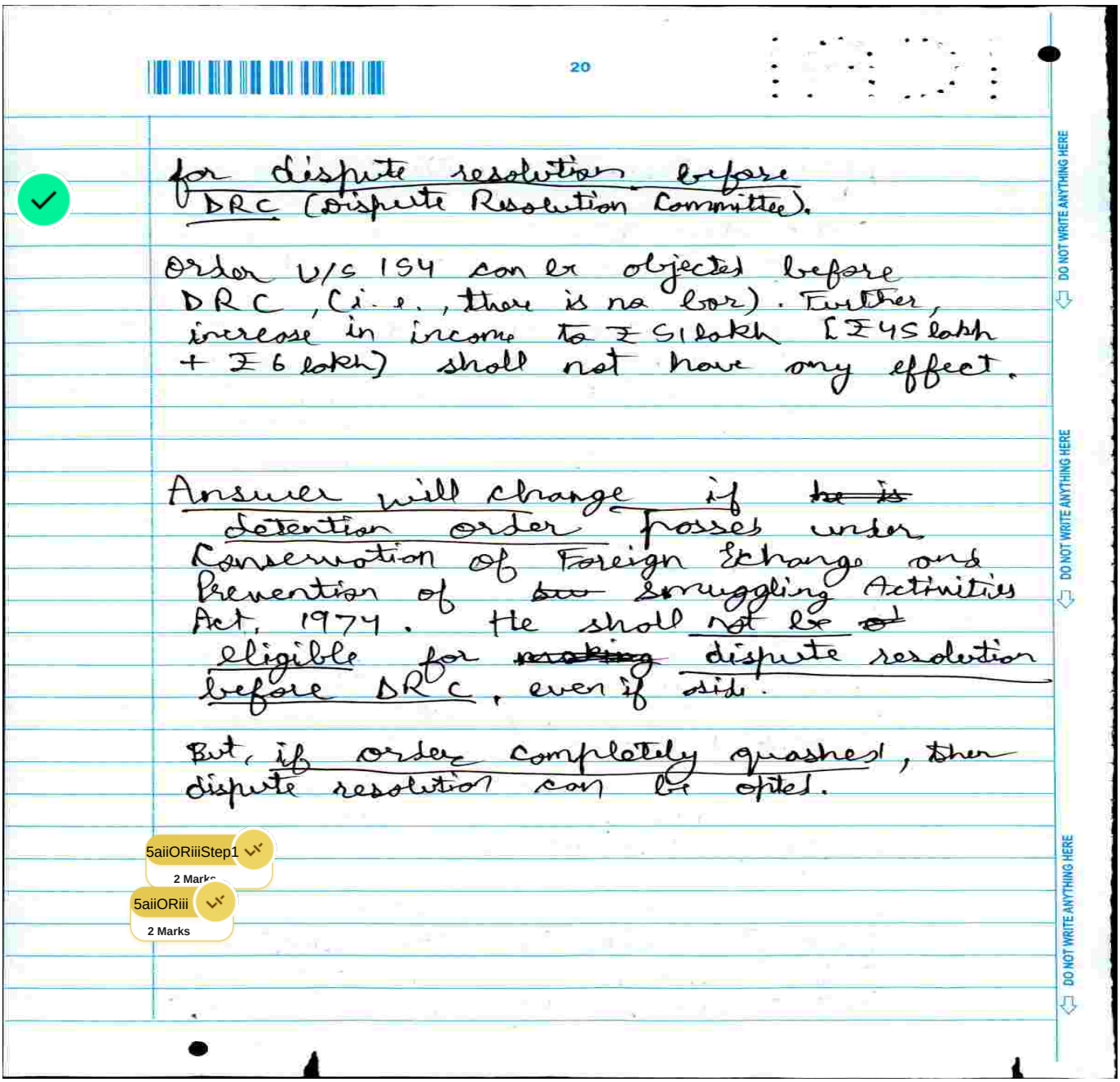
- Not a case under :-
  i) Survey U/S 133A
  ii) Search U/S 132 or requisition U/S 132A
  iii) Information received under an agreement U/S 90

- Total income as per Return of Income does not exceed ₹ 50 lakh

Further, he shall not be a person against whom detention order passed under Conservation of Foreign Exchange and Prevention of Smuggling Activities Act, 1974.

Analysis & Conclusion

Since, variation in income is less than than ₹ 10 lakh (i.e. ₹ 6 lakh) & total income is less than ₹ 50 lakh (₹ 45 lakh), Mr. Manish can opt



20

for dispute resolution before DRC (Dispute Resolution Committee).

Order U/S 154 can be objected before DRC, (i.e., there is no bar). Further, increase in income to ₹ 51 lakh [₹ 45 lakh + ₹ 6 lakh] shall not have any effect.

Answer will change if ~~he is~~ detention order passed under Conservation of Foreign Exchange and Prevention of ~~Sm~~ Smuggling Activities Act, 1974. He shall ~~not be~~ ~~el~~ eligible for ~~making~~ dispute resolution before DRC, even if stay.

But, if order completely quashed, then dispute resolution can be opted.

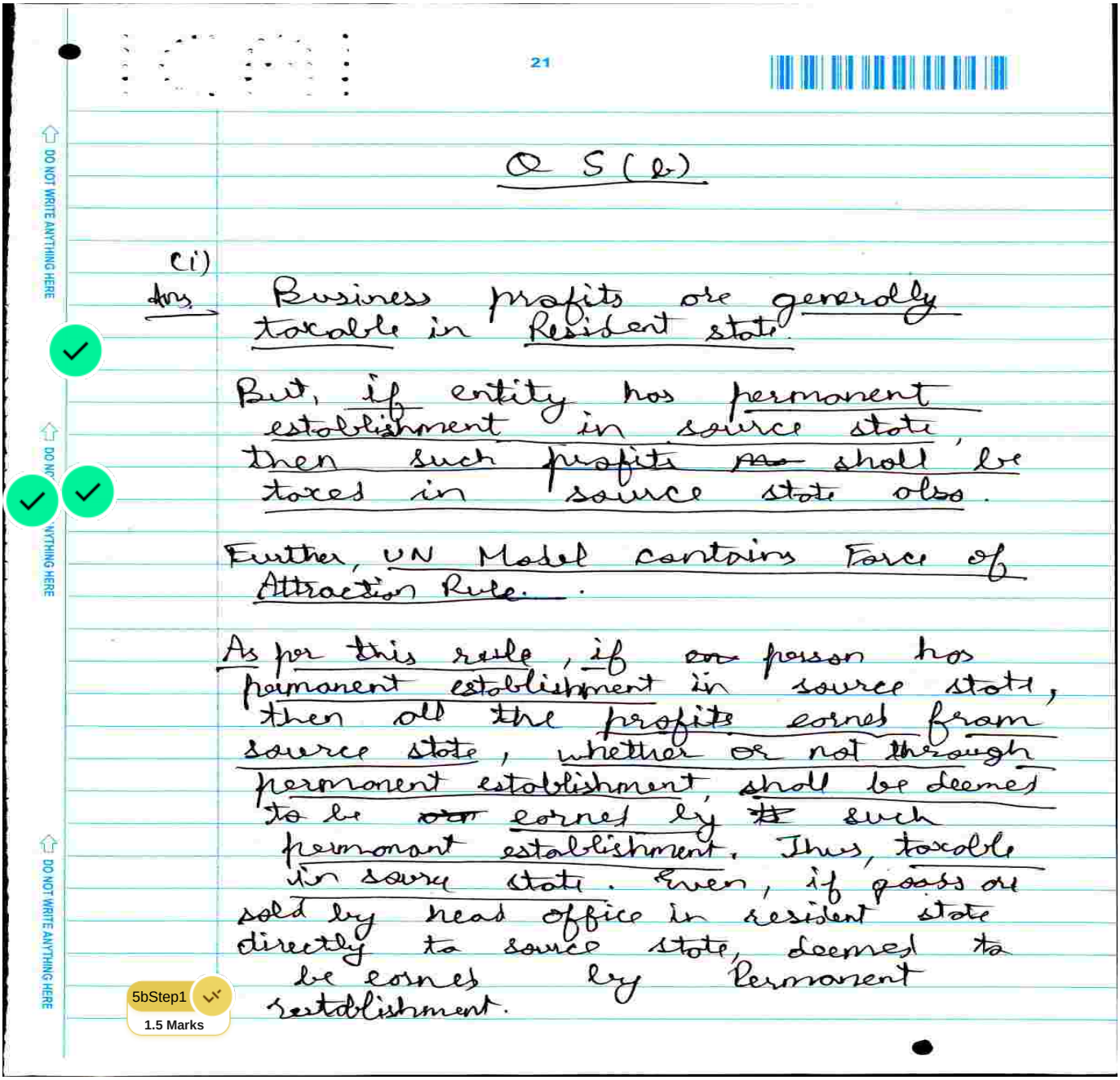
5aiiORiiiStep1 2 Marks

5aiiORiii 2 Marks

DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE



21

Q 5 (b)

(i)

Ans → Business profits are generally taxable in Resident state.

But, if entity has permanent establishment in source state then such profits ~~are~~ shall be taxed in source state also.

Further, UN Model contains Force of Attraction Rule.

As per this rule, if ~~an~~ person has permanent establishment in source state, then all the profits earned from source state, whether or not through permanent establishment, shall be deemed to be ~~or~~ earned by ~~it~~ such permanent establishment. Thus, taxable in source state. Even, if goods are sold by head office in resident state directly to source state, deemed to be earned by Permanent establishment.

5bStep1 ✓
1.5 Marks

DO NOT WRITE ANYTHING HERE

22

(ii)

As per model convention, if Competent authorities of two state shall resolve any conflict through bilateral negotiations i.e., Mutual Agreement Procedure.

Thus, ~~any dis Motab Model for Convetio~~ Mutual Agreement Procedure sets for resolution of ~~dutes~~ disputes of the residents of the contracting state regarding any income or article of Double Taxation Avoidance Agreement (DTAA)

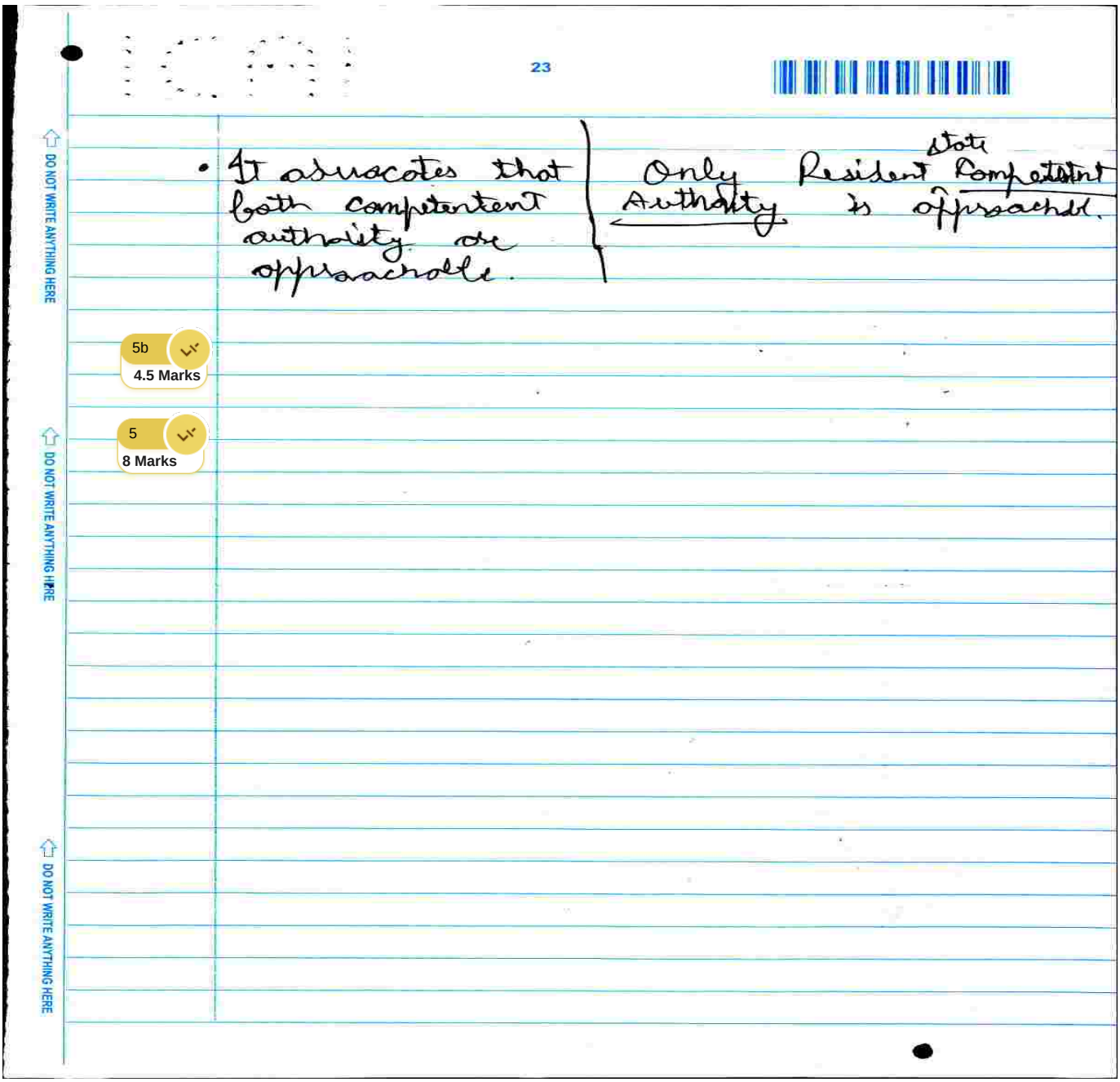
It is for timely & effective resolution of disputes.

Difference

OECD Model	UN Model
• Assessee can approach either of the Resident or Source state.	Assessee shall approach only Resident state,
• No provision for Arbitration	Assisse can make a reference for arbitration procedure.

5bStep2
3 Marks

DO NOT WRITE ANYTHING HERE



23

- It advocates that both competent authority are approachable.

Only Resident State Competent Authority is approached.

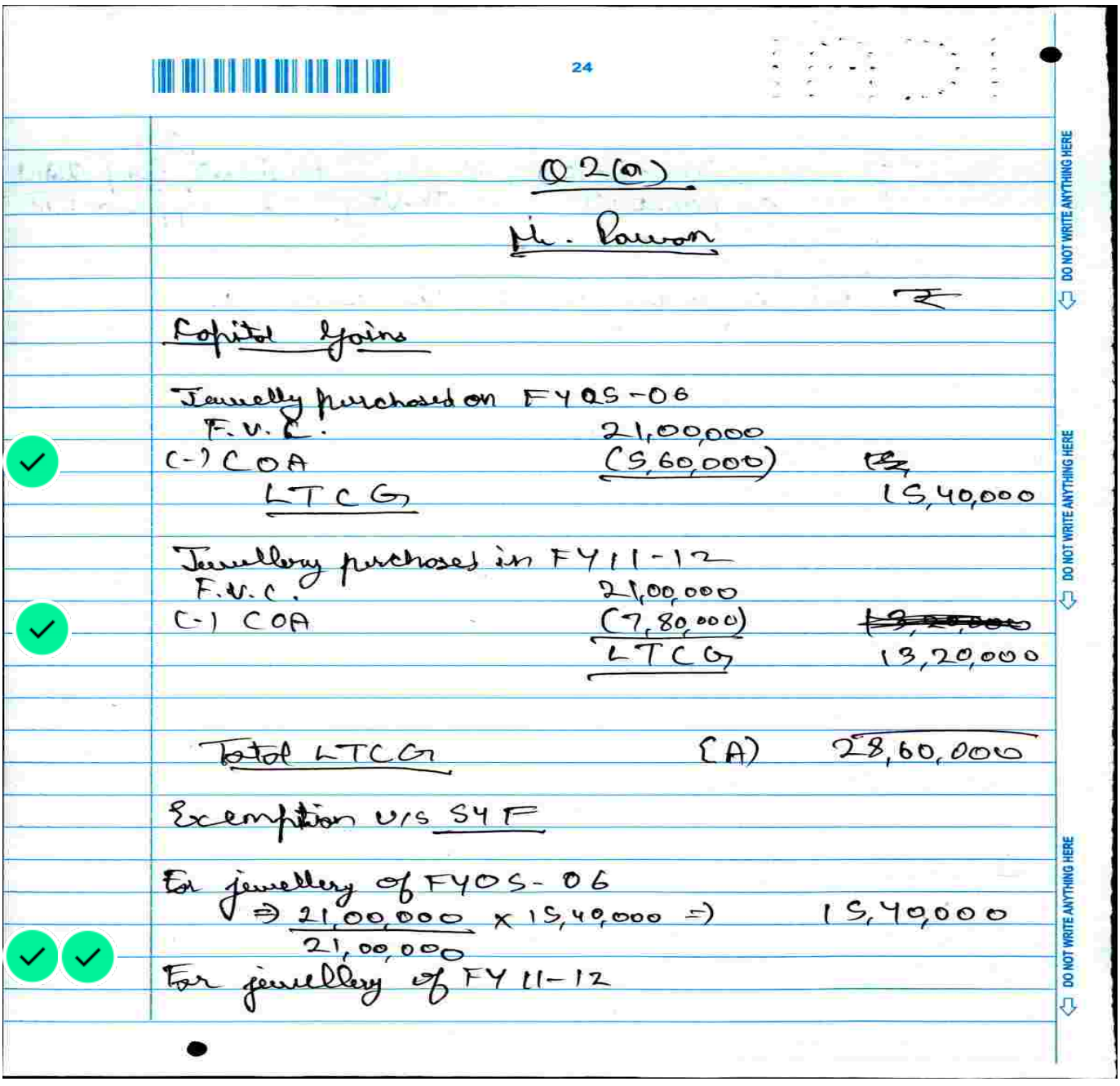
5b
4.5 Marks

5
8 Marks

DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE



24

Q 2(a)

Mr. Rawan

₹

Capital Gains

Jewelly purchased on FY 05-06
F.V.C. 21,00,000
C-1 COA (5,60,000) ₹ 15,40,000
LTCG

Jewellery purchased in FY 11-12
F.V.C. 21,00,000
C-1 COA (7,80,000) ~~13,20,000~~ 13,20,000
LTCG

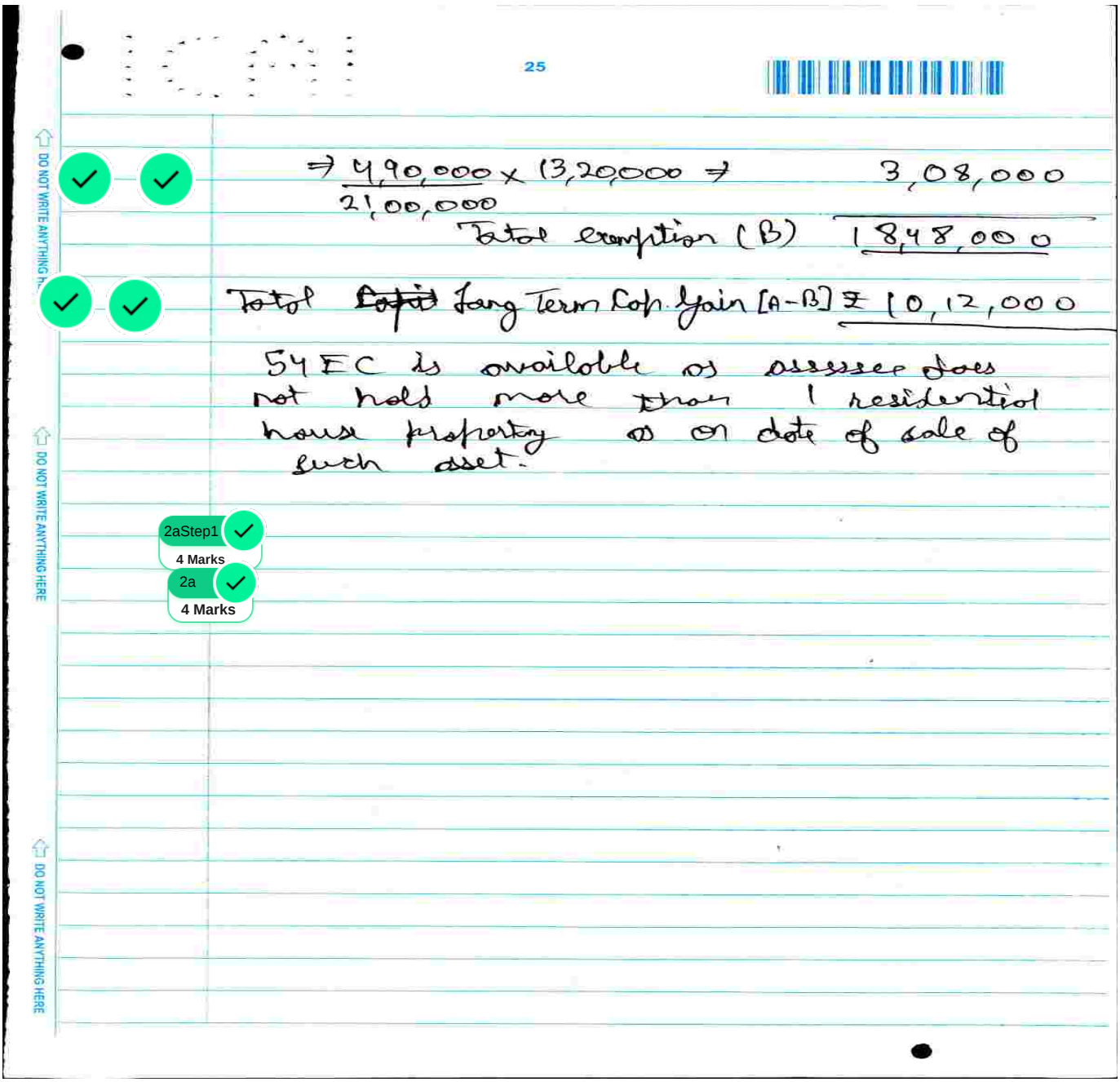
Total LTCG (A) 28,60,000

Exemption U/S 54F

For jewellery of FY 05-06
⇒ 21,00,000 / 21,00,000 × 15,40,000 ⇒ 15,40,000

For jewellery of FY 11-12

DO NOT WRITE ANYTHING HERE



25

⇒ 4,90,000 / 21,00,000 × 13,20,000 ⇒ 3,08,000

Total exemption (B) 18,48,000

Total ~~Capital~~ Long Term Cap. Gain [A-B] ₹ 10,12,000

54EC is available as assessee does not hold more than 1 residential house property as on date of sale of such asset.

2aStep1 ✓ 4 Marks

2a ✓ 4 Marks

DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE

Q2 (b)

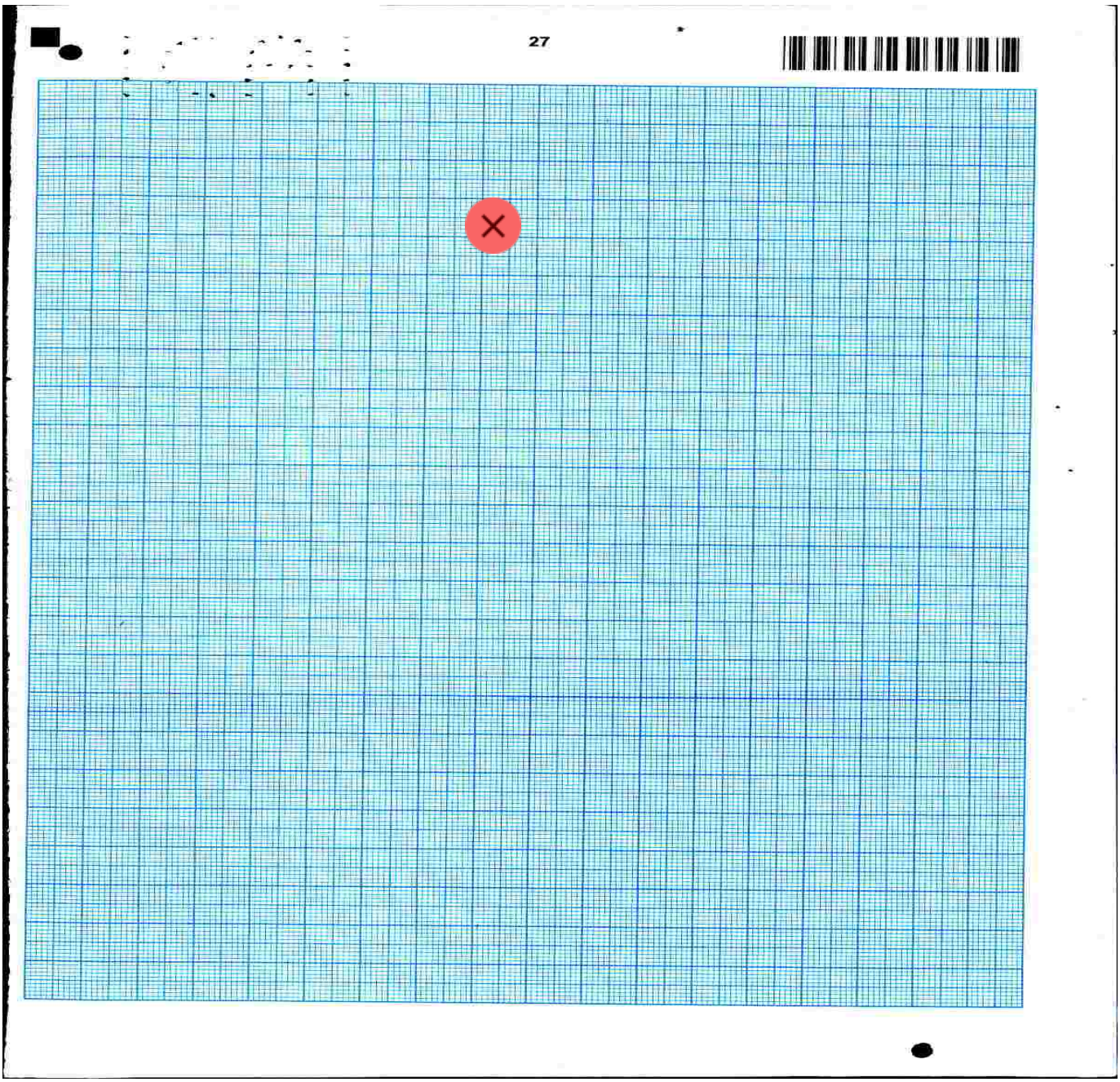
In case of a company registered under section 80-IAC, ~~losses~~ business loss of an Assessment year can be carry forwarded only if all the shareholder ~~who~~ as on the last ~~of~~ day of Financial Year in which loss incurred continue to be shareholders as on the last day of year in which loss are to be set off.

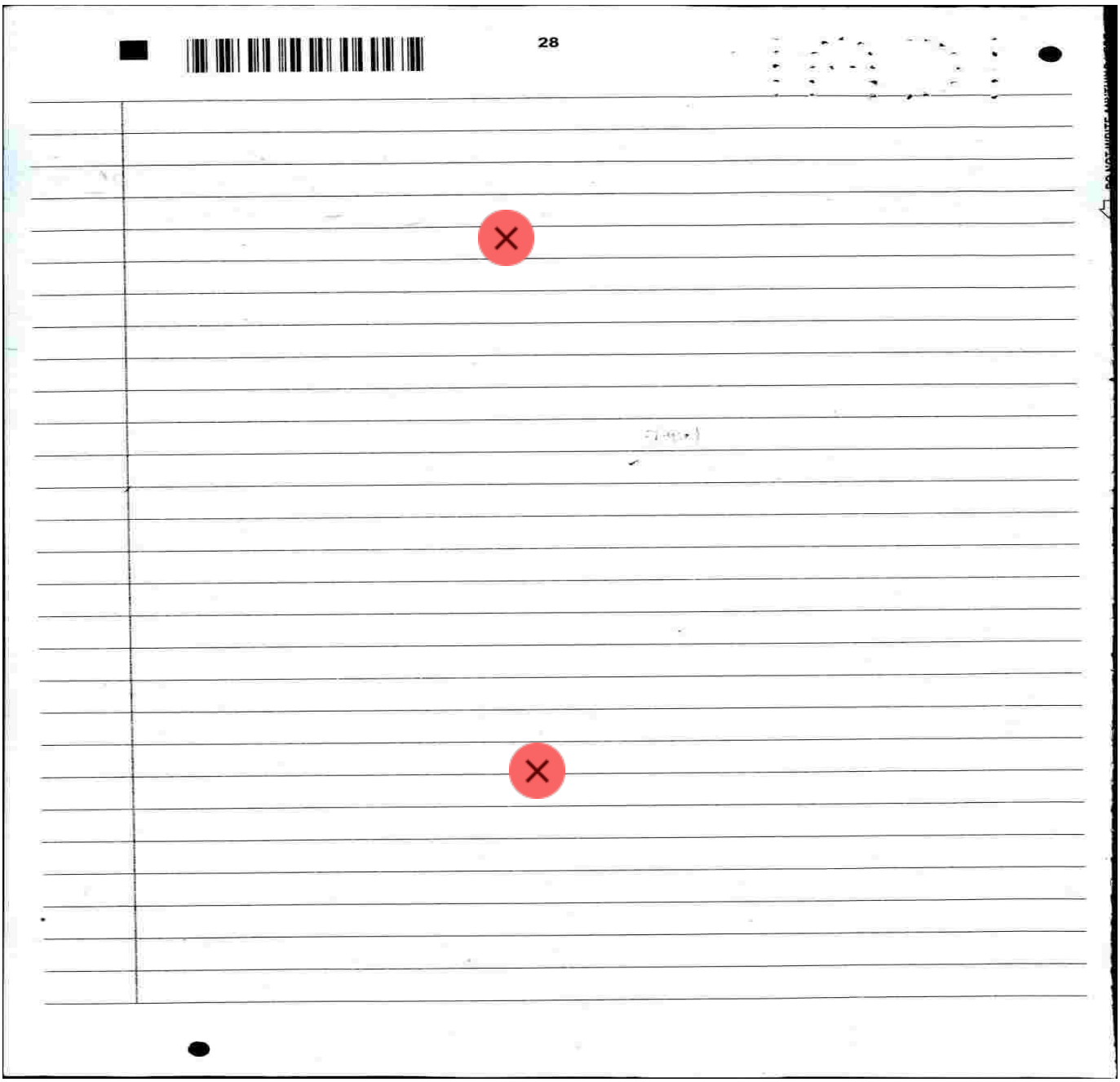
~~In the normal case that 3 atleast 51% shareholding shall be of same shareholders does not~~

Further, normally business loss can be carryforwarded only if atleast 51% of the shareholding as on the last day of the year in which losss are incurred & on the ~~ye~~ last day of the year in which loss are to be set off remain same.

Code: FN4DT874519 **Total Marks:** 70

Subject : 04 Direct Tax Laws and International Taxation **Marks Obtained :** 50




28

4874519-01

Addl. Book No. 1

THE INSTITUTE OF CHARTERED ACCOUNTANTS OF INDIA
ADDL. BOOK

DO NOT WRITE ROLL NUMBER ANYWHERE IN THIS ADDITIONAL ANSWER BOOK

DO NOT WRITE ANYTHING HERE

In present case, only P holding 35% remains as holder in both the years.

Thus, losses of F.Y. 23-24 [₹1,50,000] cannot be set off against profits of F.Y. 25-26.

However, such provision does not apply to unabsorbed depreciation. Thus, unabsorbed dep. (₹40,000) of FY 23-24 can be set off.

Further, in case of FY-24-25, shareholders P, Q, S & T remain same holding 35%, 30% & 15% respectively. Thus, same shareholding of 80% [35%+30%+15%] exceeds the threshold of 51%, thus Business (₹2,50,000) losses of FY 24-25 can be set off and carryforwarded.

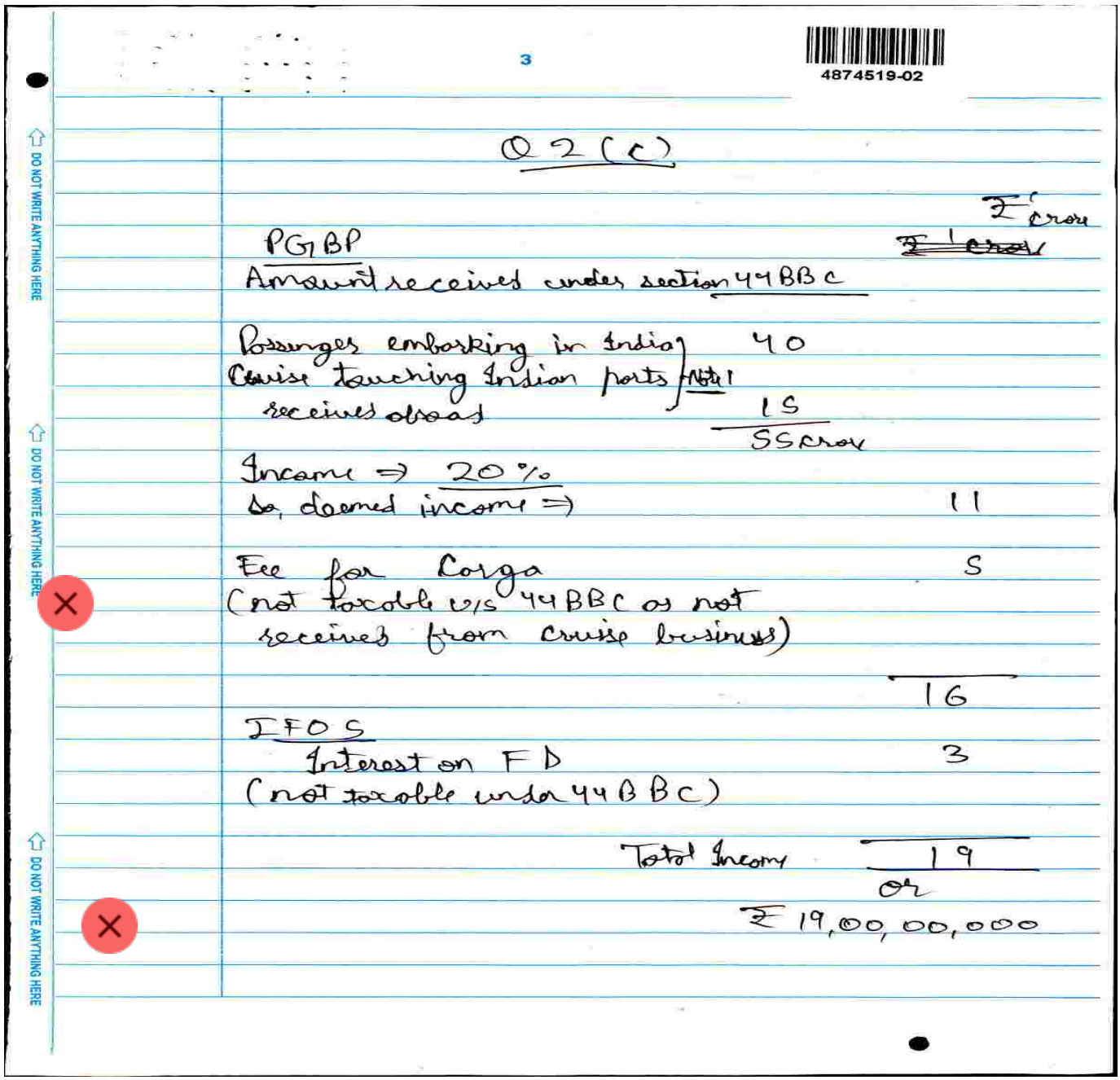
Further, unabsorbed dep. (₹80,000) of F.Y. 24-25 can also be setoff in F.Y. 25-26.

Thus A.Y. 26-27

	₹
Business Income	5,00,000
Less: Carry forwarded Business loss	
F.Y. 23-24	Nil
F.Y. 24-25	(2,50,000)
Unabsorbed Dep.	
F.Y. 23-24	40,000
F.Y. 24-25	80,000 (1,20,000)
	1,30,000

2bStep1 ✓
4 Marks
2b ✓
4 Marks

DO NOT WRITE ANYTHING HERE
DO NOT WRITE ANYTHING HERE
DO NOT WRITE ANYTHING HERE



3

4874519-02

Q 2 (c)

₹ Crore

PGBP

Amount received under section 44BBC

Passengers embarking in India 40
Cruise touching Indian ports (Note) 15
receives abroad
55 Crore

Income ⇒ 20%
So, deemed income ⇒ 11

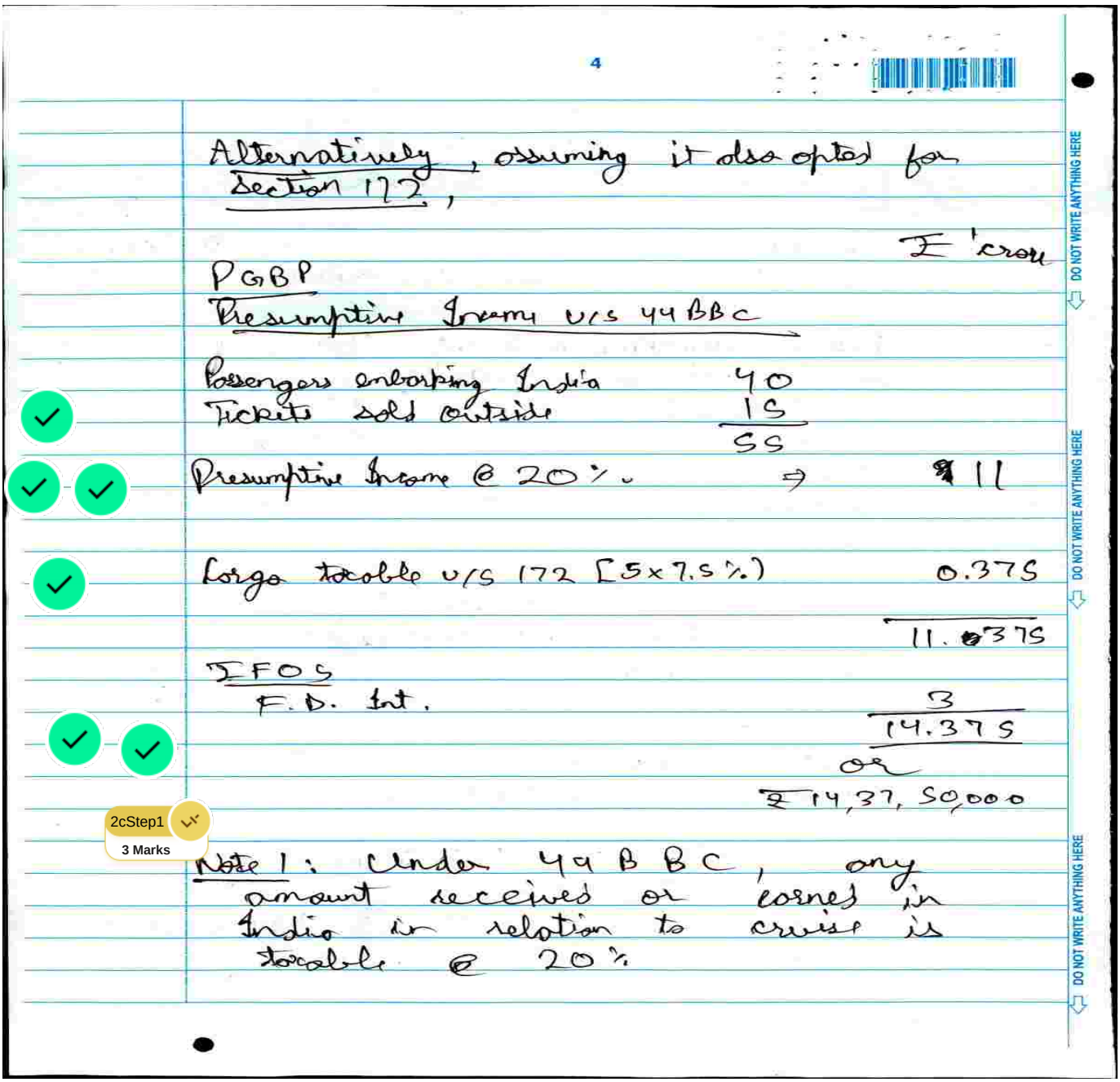
Fee for Cargo 5
(not taxable u/s 44BBC as not
received from cruise business)

16

IFOS
Interest on FD 3
(not taxable under 44BBC)

Total Income 19
or
₹ 19,00,00,000

DO NOT WRITE ANYTHING HERE



4

Alternatively, assuming it also opted for Section 172,

₹ in crore

PGBP

Presumptive Income u/s 44BBC

Passengers embarking India 40
Tickets sold outside 15
55

Presumptive Income @ 20% ⇒ ₹ 11

Cargo taxable u/s 172 [5 × 7.5%] 0.375

11.375

IFOS
F.D. Int. 3

14.375

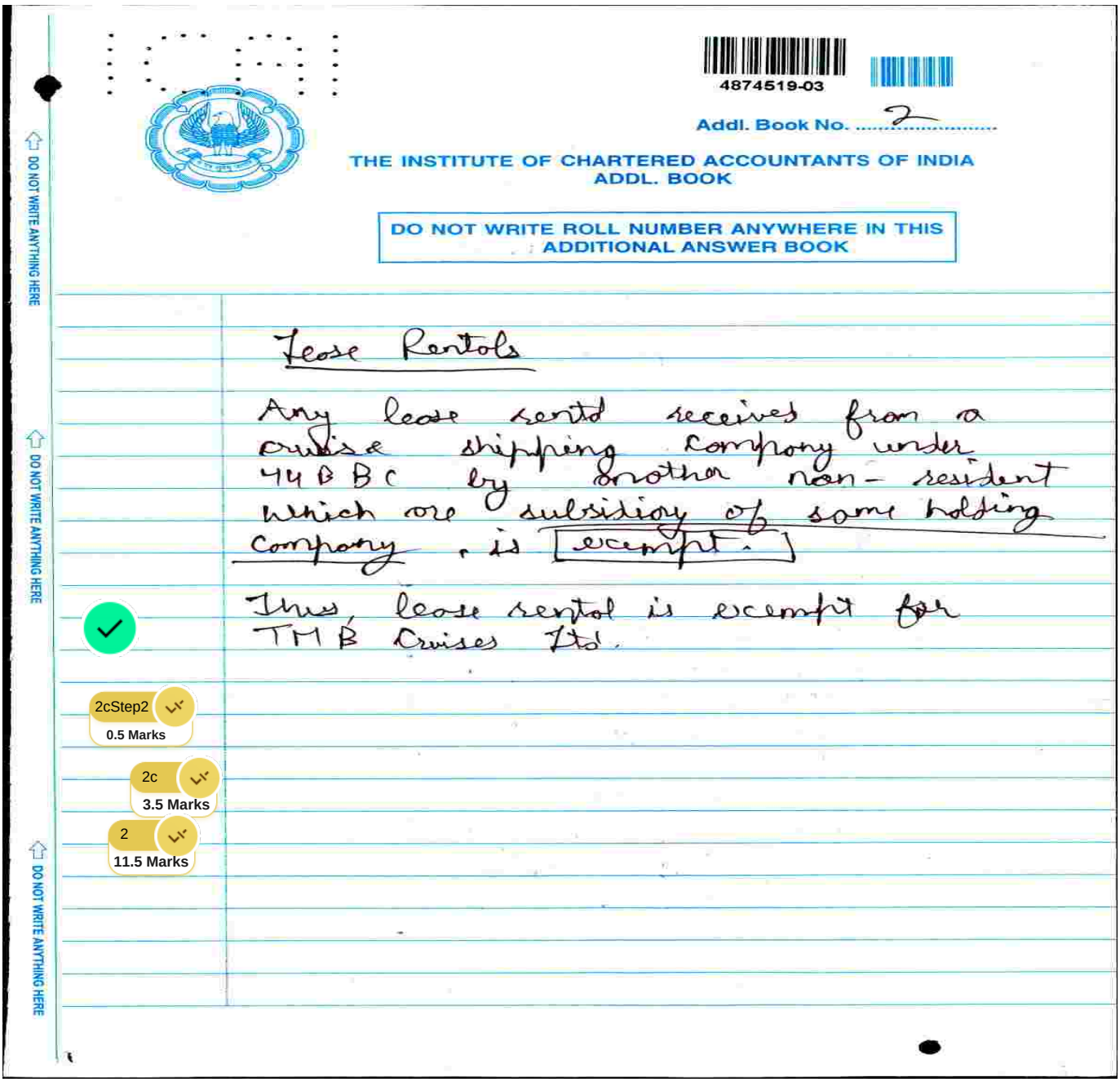
or

₹ 14,37,50,000

2cStep1
3 Marks

Note 1: Under 44BBC, any amount received or earned in India in relation to cruise is taxable @ 20%

DO NOT WRITE ANYTHING HERE



4874519-03

Addl. Book No. 2

THE INSTITUTE OF CHARTERED ACCOUNTANTS OF INDIA
ADDL. BOOK

DO NOT WRITE ROLL NUMBER ANYWHERE IN THIS ADDITIONAL ANSWER BOOK

DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE

Lease Rentals

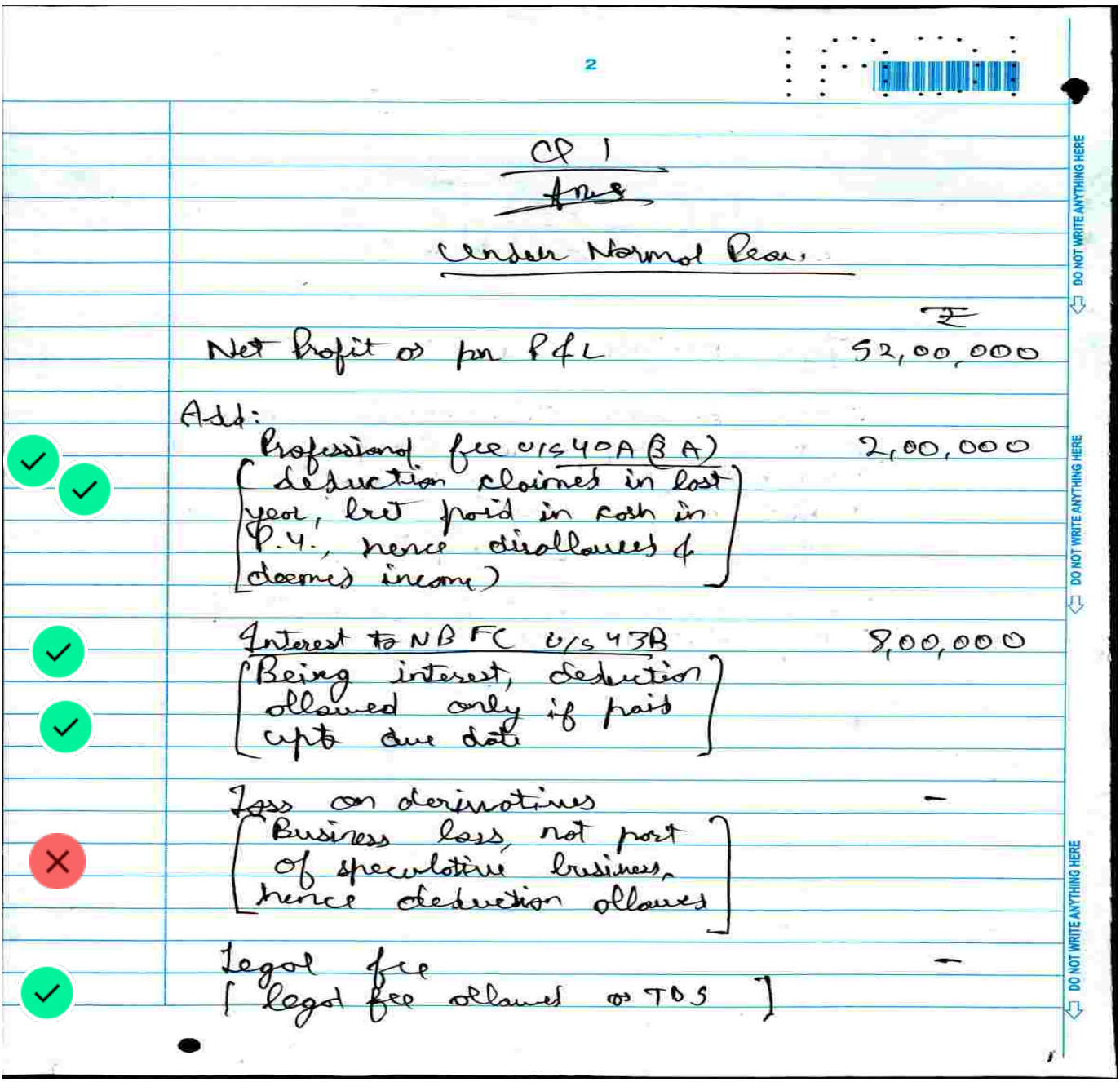
Any lease rental received from a cruise shipping company under 44BBC by another non-resident which are subsidiary of some holding company, is [exempt.]

Thus, lease rental is exempt for TMB Cruises Ltd.

2cStep2 0.5 Marks

2c 3.5 Marks

2 11.5 Marks



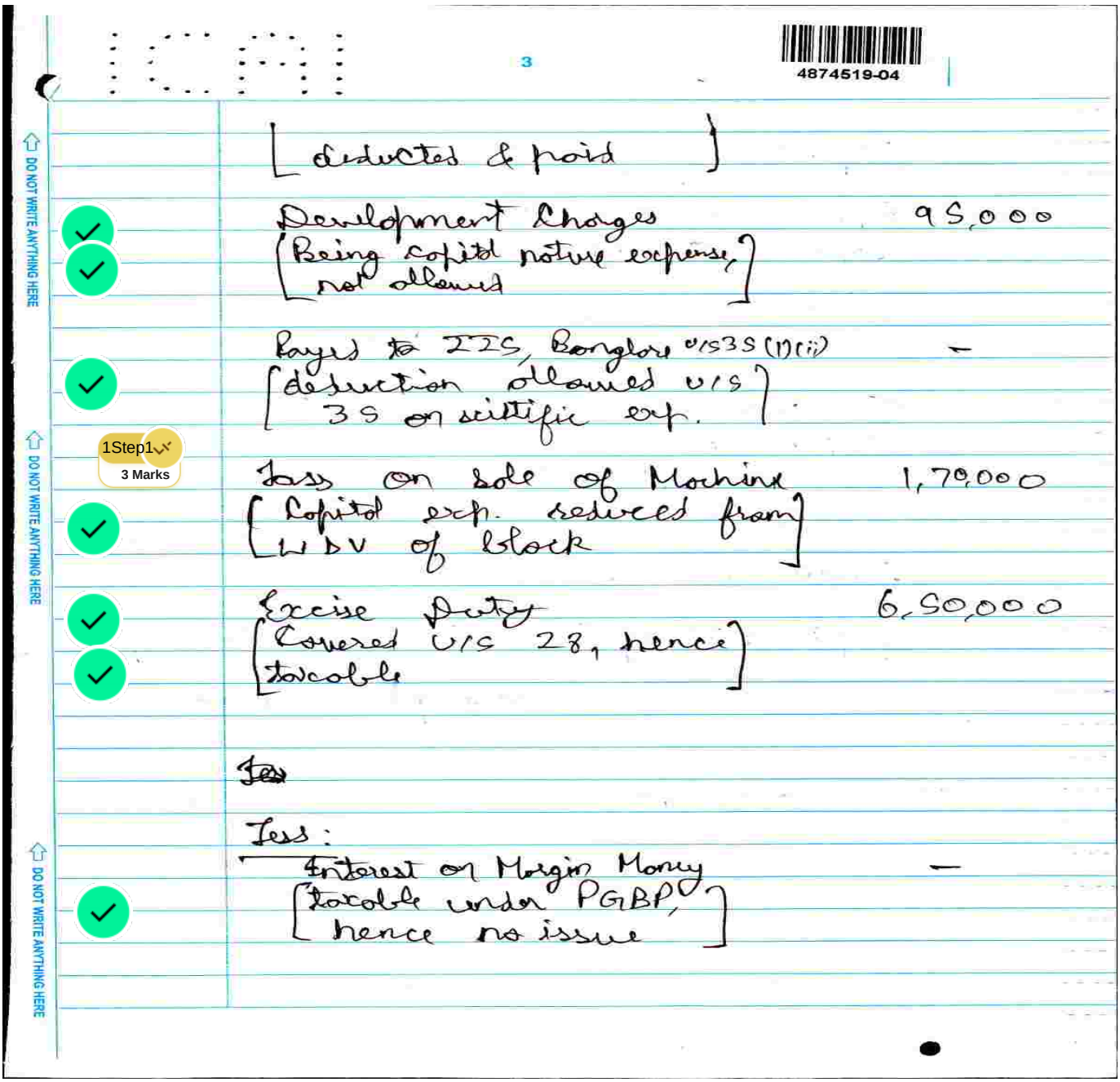
2

CP 1

~~Ans~~

Under Normal Rate

	₹
Net Profit as per P&L	52,00,000
Add:	
Professional fee u/s 40A(3A) [deduction claimed in last year, but paid in cash in P.Y., hence disallowed & deemed income]	2,00,000
Interest to NBFC u/s 43B [Being interest, deduction allowed only if paid upto due date]	8,00,000
Loss on derivatives [Business loss, not part of speculative business, hence deduction allowed]	-
Legal fee [legal fee allowed as TDS]	-



3

4874519-04

[deducted & paid]

Development Charges 95,000
[Being capital nature expense, not allowed]

Payment to IIS, Banglore u/s 35 (1)(ii) —
[deduction allowed u/s 35 on scientific exp.]

1Step1
3 Marks

Loss on sale of Machine 1,70,000
[Capital exp. reduced from WDV of block]

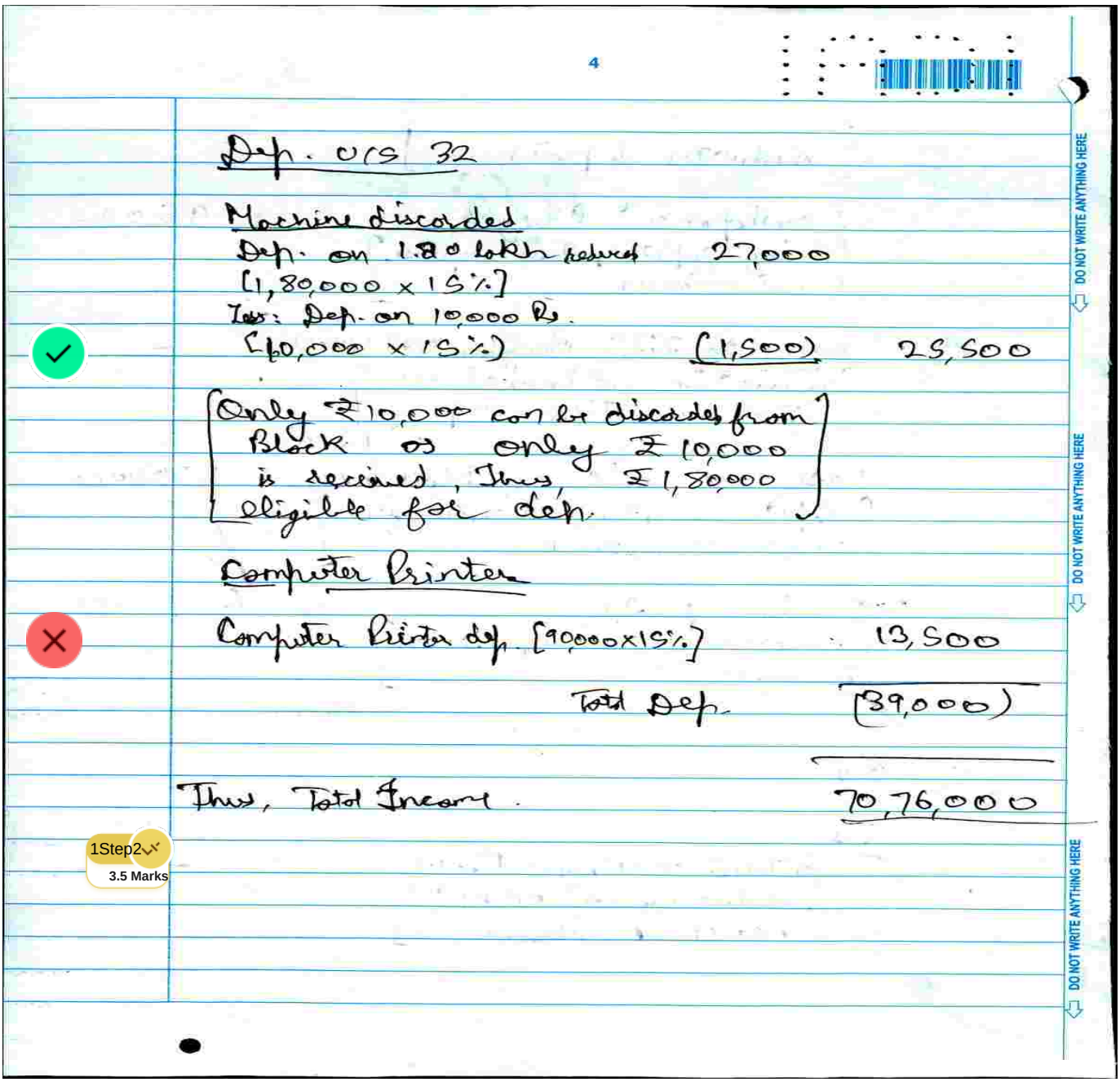
Excise Duty 6,50,000
[Covered u/s 28, hence taxable]

~~Less~~

Less :

Interest on Margin Money —
[taxable under PGBP, hence no issue]

DO NOT WRITE ANYTHING HERE



4

Dep. u/s 32

Machine discarded

Dep. on 1.80 lakh reduced [1,80,000 x 15%]		27,000
Less: Dep. on 10,000 Rs. [60,000 x 15%]	(1,500)	25,500

[Only ₹ 10,000 can be discarded from Block as only ₹ 10,000 is received, Thus, ₹ 1,80,000 eligible for dep.]

Computer Printer

Computer Printer dep. [90,000 x 15%]		13,500
Total Dep.		(39,000)
Thus, Total Income		70,76,000

1Step2
3.5 Marks

DO NOT WRITE ANYTHING HERE

4874519-05

Addl. Book No. 3

THE INSTITUTE OF CHARTERED ACCOUNTANTS OF INDIA
ADDL. BOOK

DO NOT WRITE ROLL NUMBER ANYWHERE IN THIS ADDITIONAL ANSWER BOOK

DO NOT WRITE ANYTHING HERE

Tax under Normal Prov. ₹

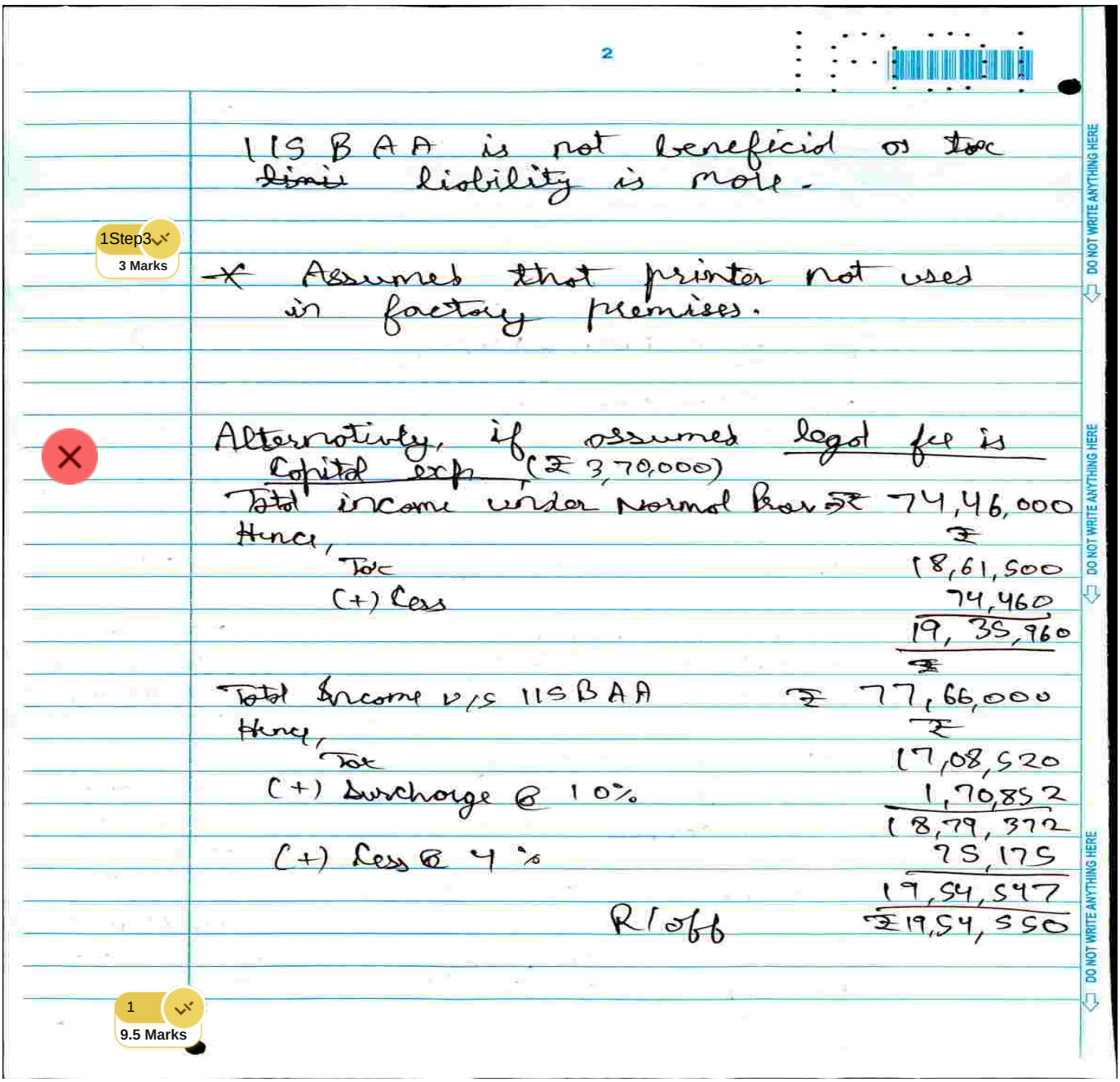
Tax (70,76,000 × 25%)	17,69,000
(+) Cess	70,760
Tax Payable	18,39,760

Income U/S 115BAA ₹

Income under normal	70,76,000
(+) Outside scientific Exp. U/S 35	3,20,000
	73,96,000

	₹
~~Tax~~ U/S 115BAA	
~~Tax~~ @ 22%	16,27,120
(+) Surcharge @ 10%	1,62,712
	17,89,832
(+) Cess @ 4%	71,593
	18,61,425
Or R/off	₹ 18,61,430

Thus, Normal Provision is more beneficial.



2

115BAA is not beneficial as tax liability is more.

1Step3 3 Marks

✗ Assumed that printer not used in factory premises.

Alternatively, if assumed legal fee is Capital exp, (₹ 3,70,000)

Total income under Normal Rate ₹ 74,46,000

Hence,

	₹
Tax	18,61,500
(+) Cess	74,460
	19,35,960

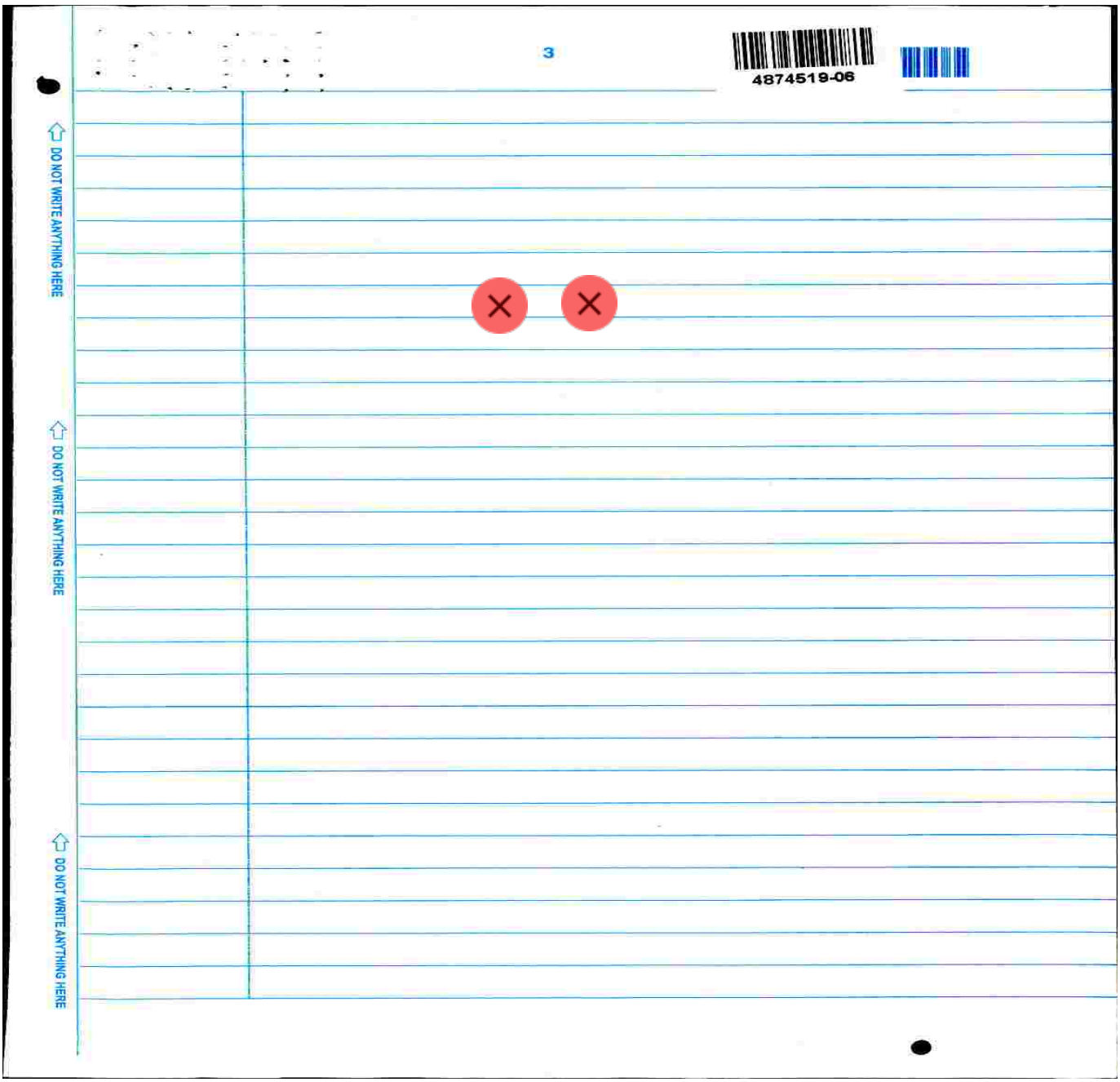
Total Income u/s 115BAA ₹ 77,66,000

Hence,

	₹
Tax	17,08,520
(+) Surcharge @ 10%	1,70,852
	18,79,372
(+) Cess @ 4%	75,175
	19,54,547
R/off	₹19,54,550

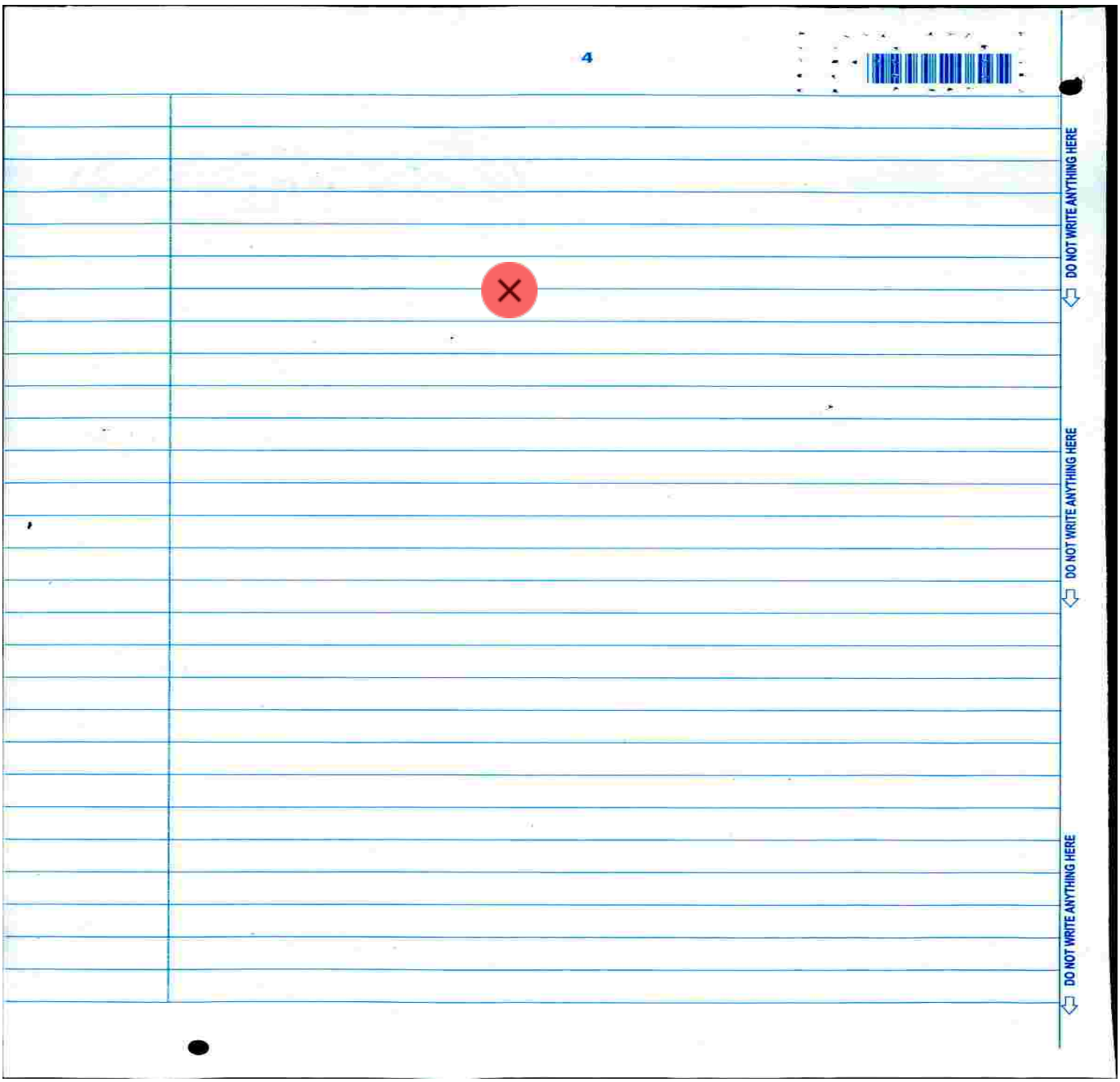
1 9.5 Marks

DO NOT WRITE ANYTHING HERE


3
4874519-06
DO NOT WRITE ANYTHING HERE
DO NOT WRITE ANYTHING HERE
DO NOT WRITE ANYTHING HERE

Code: FN4DT874519 **Total Marks:** 70

Subject : 04 Direct Tax Laws and International Taxation **Marks Obtained :** 50



The Institute of Chartered Accountants of India

Code: FN4DT874519 **Total Marks:** 70
Subject : 04 Direct Tax Laws and International Taxation **Marks Obtained :** 50

Result Overview

Awarded Marks:50		Max Marks:70
Not Attempted	Optional	M Marked

Q1_Compulsory (Score: 9.5/14)

Question No	Awarded Marks	Maximum Marks	Status
1	9.5	14	M

Q2_Q6 (Score: 40.5/56)

Question No	Awarded Marks	Maximum Marks	Status
2	11.5	14	M
2a	4	4	M
2b	4	4	M
2c	3.5	6	M
3	10.5	14	M
3ai	1.5	3	M
3aii	1.5	3	M
3aiii	2	2	M
3b	5.5	6	M

4	10.5	14	M
4ai	1.5	2	M
4aii	2	2	M
4aiii	2	2	M
4aiv	0	2	M
4b	5	6	M
5	8	14	M
5aiORii	1.5	4	M
5aiiORiii	2	4	M
5b	4.5	6	M
6	0	14	
6a	0	6	
6b	0	4	
6c	0	4	